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• *By the Students*

• *Of the Students*

• *For the Students*

## **1<sup>ST</sup> SEMESTER CONTRACT -1**

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## **About the Committee**

*The Academic Committee of the Department of Law at the University of Calcutta is a newly formed body established in the month of September, 2024, comprising dedicated students from all 5 years of the BA LLB program. This diverse committee is designed to foster a collaborative academic environment, drawing on the unique perspectives and experiences of its members to enhance the educational journey of the students.*

*With a total of 12 members, including two Joint Secretaries, the committee operates under the auspices of the Student Unit (TMCP) of Department of Law, University of Calcutta. Its primary mission is to develop comprehensive study materials and notes that cater to the specific needs of law students, ensuring they have access to essential resources for their academic success.*

*In addition to creating study materials, the committee is committed to provide valuable support through organized online doubt-clearing sessions and compiling lists of important exam questions. By engaging students from various academic years, the committee aims to create a vibrant community that encourages knowledge sharing and academic excellence across all levels of the BA LLB program. Through these initiatives, we aspire to empower students and enhance their understanding of legal concepts, preparing them for both examinations and future careers in law.*

## **Objectives Of the Committee**

*The Academic Committee of the Department of Law at the University of Calcutta is dedicated to enriching the academic experience of BA LLB students through several key initiatives. A primary focus is developing comprehensive study materials, including high-quality, well-researched notes covering essential topics in the BA LLB curriculum. This ensures students have valuable resources to support effective learning and exam preparation.*

*To aid examination success, the committee curates and distributes a list of important questions and topics, helping students focus on critical areas and improve performance. Regular online doubt-clearing sessions further support students by providing a platform to clarify course content, ask questions, and engage in discussions on complex legal concepts.*

*The committee also emphasizes practical learning through workshops and seminars with legal professionals, offering insights into the legal field and connecting theoretical knowledge to real-world applications. Additionally, fostering a collaborative academic community is a priority, encouraging knowledge sharing and support among students across different years.*

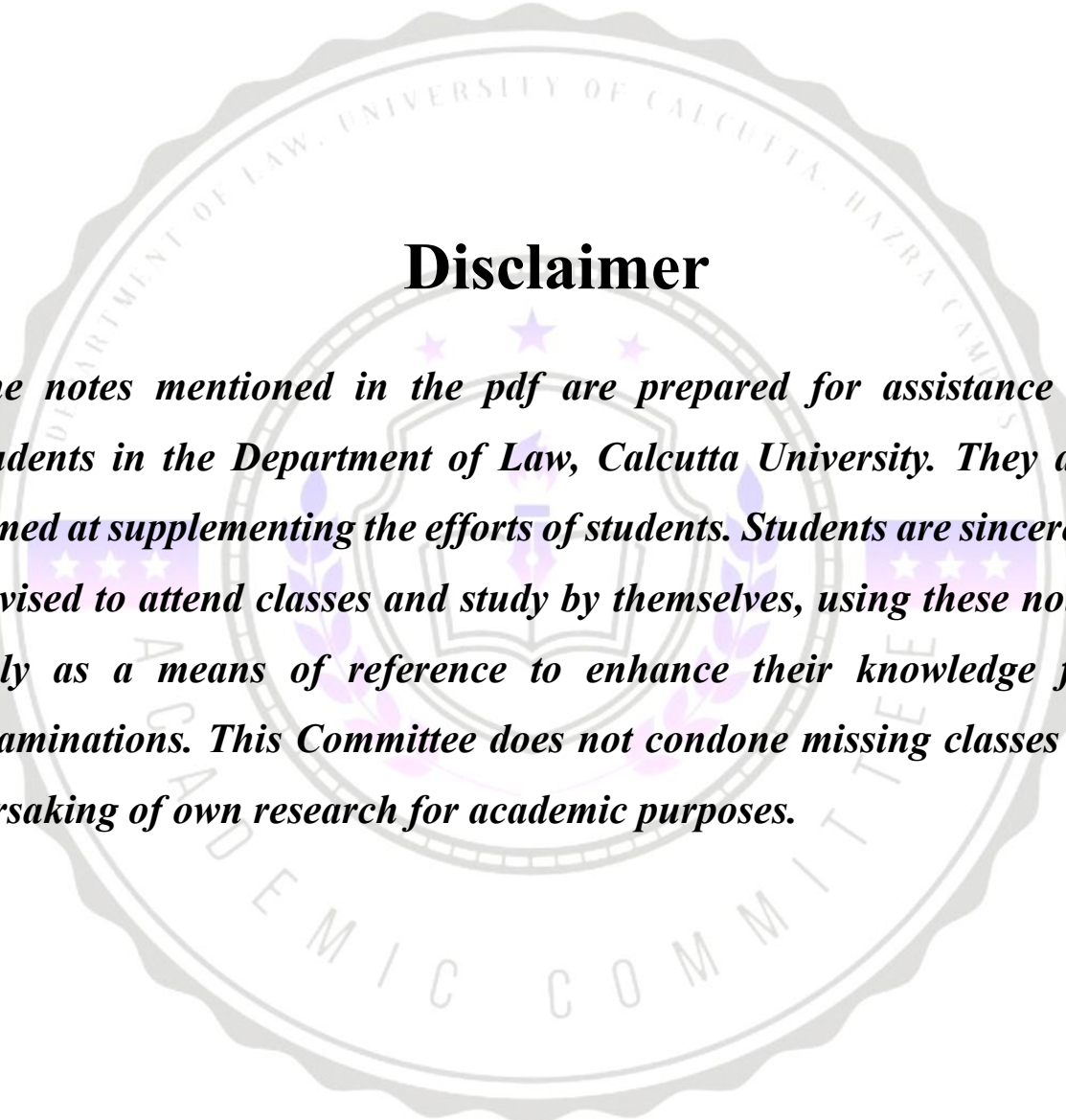
*Looking ahead, the committee plans to introduce new initiatives such as guest lectures and legal research projects to further enhance the academic experience and prepare students for future careers in law.*

## **Acknowledgement**

*The Academic Committee of the Department of Law at the University of Calcutta extends its heartfelt gratitude to all those who have supported the establishment and ongoing efforts of this committee. We would like to express our sincere appreciation to the University of Calcutta for providing a conducive environment for academic growth and innovation.*

*We are especially thankful to the Student Union members, **Surya Jyoti Sarkar** (President) and **Ananda Biswas** (General Secretary) for their unwavering support and guidance, which has been instrumental in facilitating our operations and ensuring that student voices are effectively represented in our initiatives.*

*We also appreciate the enthusiasm and commitment shown by our Committee Secretaries - **Anandita Nandy and Dipshikha Bhandari** of 7<sup>th</sup> Semester and Executive Members – 9<sup>th</sup> Semester- **Ridhikamini Basu Mallick**, 7<sup>th</sup> Semester - **Ritisha Majumder, Maitreyee Roy**, 5<sup>th</sup> Semester - **Anu Mondal, Manami Pramanick, Supriti Murmu**, 3<sup>rd</sup> Semester – **Diksha, Krishna Thakur, Pragya Shukla, Arkodyuti Pramanick, Debapriya Dutta** in working collaboratively to enhance the academic environment for law students. Together, we aim to create a vibrant learning atmosphere that prepares students not only for examinations but also for their future careers in law.*



## **Disclaimer**

*The notes mentioned in the pdf are prepared for assistance of students in the Department of Law, Calcutta University. They are aimed at supplementing the efforts of students. Students are sincerely advised to attend classes and study by themselves, using these notes only as a means of reference to enhance their knowledge for examinations. This Committee does not condone missing classes or forsaking of own research for academic purposes.*

# 1. What is a contract? What are the essentials of a valid contract?

The INDIAN CONTRACT ACT, 1872 ("Contract Act") is the primary legislation that governs contracts in India. It outlines the essential components of a contract and various general principles that are applicable to contracts. Instead of imposing affirmative obligations on the parties involved, it specifies different formalities related to contracts.

Enacted on 1st September 1872, the Indian Contract Act is one of the oldest commercial laws in the country. This legislation offers guidance for the creation and adherence to contracts in a regulated and systematic manner. These rules and regulations establish the framework for the actions to be taken in the event of any contractual disputes.

The Indian Contract Act, 1872 defines the term "Contract" under its *section 2 (h)* as "An agreement enforceable by law". In other words, we can say that a contract is anything that is an agreement and enforceable by the law of the land. An Agreement is a settlement between two parties, which contains obligations or promises which both parties need to fulfil. When such an agreement is made binding by Law it becomes a Contract. Therefore, an agreement consists of reciprocal Promises which are to be performed by parties to the contract. Promises are reciprocal when both parties have to perform something for the other.

- **Pollock**- "Every agreement and promise enforceable by law is a contract".
- **Salmond**- "A contract is an agreement creating and defining obligation between two or more persons by which rights are acquired by one or more to acts or forbearance on the part of others".
- **Anson**- "The law of contract is that branch of law which determine the circumstances in which a promise shall be legally binding on the person making it".

In simple terms, a contract means when two parties put into writing an agreement which contains certain obligations (promises) which are to be performed by such parties, and when such written agreement becomes enforceable by law, it becomes a Contract. Enforceable by law means when the agreement has acquired the force of law only for those who are a party to it and a violation of those obligations would attract legal action, including repudiation of the entire contract.

Now after examining the definitions of contract, we can say that-

**Contract = Agreement + Enforceability**

**Illustration:** A contracted with B for purchase of 10 bags of cement of a certain quality, for Rs 1, 00,000. In this case, B's promise is to provide A with 10 bags of cement of that quality only for which A has contracted and A's promise is to duly pay B Rs.1, 00,000. In this case, both have to perform something for the other, thus it is a case of reciprocal promise.

### **Essential elements of a valid contract**

It has been noted above that an agreement enforceable by law is a contract. All such agreements which satisfy the conditions mentioned in *Section 10 of the Act, 1872*, are contracts. *Section 10* is as under:

“All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object and are not hereby expressly declared to be void.”

All the Essential elements of a valid contract are briefly discussed below.

#### **Offer and Acceptance**

While entering into a contract, there must be two parties. One party makes an offer. The other party accepts the offer.

- **Offer** - According to section 2(a) of the Indian Contract Act 1872, an offer is made when someone offers to do or does not do something. An offer made should be clear, concise, and definite. It should be properly communicated and duly understood by the other party. The offer must be lawful and legal.

Example – When Ram proposes to sell his house to Sham. Here, an offer is made.

- **Acceptance** - Section 2(b) of the Indian Contract Act defines acceptance as when one party makes the offer, and the other party accepts it is called acceptance. The party to whom the offer is made gives his assent, and then it is said the offer is accepted. The acceptance of the offer should be properly communicated to the offeror. The acceptance should not be ambiguous.

*Section 4* of the Indian Contract Act, 1872 says that “the communication of a proposal is complete when it comes to the knowledge of the person to whom it is made.”

In *Lalman Shukla v. Gauri Dutt*,<sup>1</sup> the defendant's nephew absconded from home. The plaintiff, who was defendant's servant, was sent to search for the missing boy. After the plaintiff had left in search of the boy, the defendant issued handbills announcing a reward of Rs. 501 to anyone who might find out the boy. The plaintiff, who was ignorant of this reward, was successful in searching the boy. When he came to know of the reward, which had been announced in his absence, he brought an action against the defendant to claim this reward. It was held that since the plaintiff was ignorant of the offer of reward, his act of bringing the lost boy did not amount to the acceptance of the offer, and, therefore, he was not entitled to claim the reward.

### Lawful Consideration

Section 2(c) of the Indian Contract Act 1872 defines the consideration. The consideration in a contract must be valid and lawful. Consideration is when both parties agree to do or not to do something. The consideration in a contract can be present, past, or future. Lawful consideration helps to abstain from unlawful activities in a contract. Agreements which have unlawful consideration are void.

### Intention To Create a Legal Relationship

When different parties enter the contract, a legal affinity is created among them. This legal link is enforceable by law. Section 2(h) of the Indian Contract Act 1872 defines that agreements enforceable by law are valid contracts. Agreements between family members like husband and wife and father and son do not create a legal affinity unless the legality of the relationship is Expressed. When the agreement creates a legal obligation, it becomes a contract.

In the case of *Balfour v. Balfour*,<sup>2</sup> the defendant, who was employed on a government job in Ceylon, went to England with his wife on leave. For health reasons the wife was unable to accompany the husband again to Ceylon. The husband promised to pay £ 30 per month to his wife as maintenance for the period she had to live apart. The husband having failed to pay this amount, was sued by the wife for the same. It was held that there being no intention to create a legal relationship, the husband was not liable.

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<sup>1</sup> (1913) 11 All Lj 489

<sup>2</sup> 1919 2 KB 571

## The Capacity of the Parties

The Indian Contract Act 1872 does not prohibit anyone from entering into a contract. But this act defines certain persons as incapable of entering into a contract. The Indian Contract Act specifically mentions who is capable of entering into a contract, which has been discussed below.

- **Major** - A person who has achieved the age of majority. According to the Indian Majority Act, section 3 defines a person who has achieved the age of 18 as a major. In *Mohori Bibi v. Dharmodas Ghose*<sup>3</sup> it was held by the Privy Council that the agreement by a minor was void.
- **Sound Mind** - The person entering into a contract must have a sound mind. Entering into a contract with someone with an unsound mind is invalid. Some people have unsound minds. These persons can only make a contract when they are of sound mind.
- **Not Prohibited by Law** - A person who is prohibited by law cannot enter into a contract. Convicts and insolvent persons cannot enter into a contract. A person recognized as incompetent to enter into a contract by a court of law.

## Free Consent

Both parties entering into a contract must enter into a contract of their free will. *Section 13* of the Indian Contract Act 1872 states that consent is a contract's most important requirement. When all the parties to a contract agree on the same thing in the same sense, it is said to be free consent. A contract is said to be made with free consent when it is free from 'coercion', 'undue influence', 'fraud', 'misrepresentation' or 'mistake'.

## Lawful Object

The contract that is formed between the two parties must have a lawful object. Without a lawful object, a contract is not valid at all. This helps in minimizing unlawful or illegal objectives. *Section 23* of the Indian Contract Act 1872 very clearly defines the acts which are lawful or unlawful.

1. If the law forbids it.
2. If it is contradictory to the present law.

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<sup>3</sup> 1903 30 IA 114 (PC)

3. If the act is Immoral or unjust.

### **Possibility Of Performance**

*Section 56* of the Indian Contract Act 1872 States that an agreement when the performance is impossible to perform in the contract is invalid. The impossibility of performance in a contract arises when the object of the contract is completely lost.

### **Not expressly declared to be void**

There are some agreements which have been specifically declared as void by the Indian Contract Act. Even if such agreements satisfy the conditions of a valid contract, they are not enforceable. The agreements which have been declared void by the Act are as follows: -

1. Agreement of which the consideration or the object is not lawful (Sections 23 and 24).
2. Agreement without consideration (Section 25).
3. Agreement in restraint of marriage (Section 26).
4. Agreement in restraint of trade (Section 27).
5. Agreement in restraint of legal proceedings (Section 28).
6. Agreement which is ambiguous and uncertain (Section 29).
7. Agreement by way of wager (Section 30).
8. Agreement to do an impossible act (Section 56).

### **Certainty Of Meaning**

All the parties to a contract must agree on the same thing in the same sense. The contract must be properly shared among the parties. Any miscommunication or learning of other senses that are not valid.

### **Legal Formalities**

Both parties can enter into a contract in writing or orally. There are specific situations where the contract must be in writing, registered, and have one witness. In many cases, the legal civilities of a contract also decide the validity of a contract.

## 2. Define privity of contract along with its exceptions along with the help of case laws.

According to *Section 2(h) of the Indian Contract Act, 1872*, a contract can be defined as an agreement that subsists between two or more parties that is enforceable in the courts of law. When one party fails to perform their obligations provided in the contract, the other party can sue them for the breach and obtain adequate remedy. Consideration is one of the major requisites for the validity of a contract and it is defined in *Section 2(d)* of the Indian Contract Act. It refers to any act or abstinence performed by the promisee or any other person at the request of the promisor. Indian law permits consideration to be moved by persons who are not parties to the contract as long as it is at the request of the promisor.

### Privity of Contract: A Historical Perspective

The doctrine of privity of contract, deeply rooted in English common law, established the principle that only the parties directly involved in a contract had the legal standing to enforce its terms. This strict interpretation of privity had far-reaching consequences and often left third parties without recourse, even when they were intended beneficiaries of the contract.

#### **Case law - *Tweddle v. Atkinson*<sup>4</sup>**

The doctrine's rigidity was evident in the case of *Tweddle v. Atkinson*, where Tweddle's father-in-law and Atkinson entered into a contract to provide financial support for Tweddle and his wife. After Atkinson's death without fulfilling his obligations, Tweddle attempted to sue Atkinson's estate for breach.

However, the court denied his claim, emphasizing the absence of consideration from Tweddle's father-in-law to Atkinson and the fact that Tweddle was not a party to the contract. This case set a precedent for the strict application of privity of contract, even in cases involving intended beneficiaries.

#### **Case law - *Dunlop Pneumatic Tyre Co Ltd v. Selfridge & Co*<sup>5</sup>**

The doctrine of privity began to evolve in the case of *Dunlop Pneumatic Tyre Co Ltd v. Selfridge & Co*, a landmark ruling that marked a departure from its rigid application. Dunlop,

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<sup>4</sup> (1861) 121 E.R. 762

<sup>5</sup> [1915] AC 847

a tire manufacturer, entered into agreements with its dealers, including Dew & Co., to maintain a resale price for its products. Dunlop also required dealers to obtain similar undertakings from their retailers, including Selfridge. When Selfridge sold tires below the agreed price, Dunlop sued for breach of contract. On appeal, Selfridge argued that Dunlop could not enforce the contract's burden against it because it had not consented to the contract between Dunlop and Dew. The court ruled in favor of Selfridge, emphasizing that Selfridge was neither a principal nor an agent and therefore was not bound by the contract between Dunlop and Dew. This case hinted at exceptions to privity when justice and equity demanded.

The doctrine of privity of contract is one of the major principles that govern the law of contracts. The word 'privity' means 'with knowledge and consent'. According to this doctrine, only parties to a contract have the right to enforce the rights and obligations provided by the contract and strangers to the contract are barred from enforcing any obligation on any party. This doctrine protects parties to a contract from obligations that they never agreed to incur. Only those parties that have an interest in the contract can sue for its enforcement. The first case in India that affirmed the applicability of the doctrine was the case of [\*Jamna Das v. Ram Autar Pande\*](#) (1916).

***Case law - Jamna Das v. Ram Avtar<sup>6</sup>***

In this case, A borrowed money by mortgaging her property to B and subsequently sold the property to C, with the intent to redeem the mortgage if needed. When B sued C for the recovery of the mortgage money, C's defense relied on the privity of contract rule. The Privy Council ruled in favor of B, asserting that C, the purchaser, had entered into no contract with B and, therefore, was not personally obligated to pay the mortgage debt. This case exemplified the strict adherence to the privity of contract doctrine in Indian law.

**Exceptions to the rule that a Third Party to contract cannot sue**

The doctrine of privity of contract is however not absolute. There are several exceptional situations in which a third party to a contract can sue. The following are the exceptions to the doctrine of privity in Indian law:

- **Trust of contractual rights or beneficiary under a contract**

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<sup>6</sup> AIR 1916 ALLAHABAD 232

A trust refers to something created by a contract for the benefit of a third party. In a contract of trust, the trustor transfers the title of a property to the trustee, so that the trustee holds it for the benefit of a third party who is also called the beneficiary. Even though beneficiaries are third parties to a contract they have the right to enforce the provisions of trust. This exceptions to the doctrine of privity of contract was recognized by Lord Haldane in ***Dunlop Pneumatic Tyre Co. v. Selfridge & Co.***, itself. While it was mentioned that only a party to it was also stated that "such a right may be conferred by way of a contract can sue on it, no such right is conferred on a third-party property, as, for example, under a trust." The basis of an action by the third party in such a case is actually not the enforcing of contract but the right conferred by a particular contract in favour of a third party in the form of trust etc. Indian law has also recognized this exception.

In ***Khwaja Muhammad Khan v. Husaini Begum***<sup>7</sup>, where it was observed that “Here the agreement executed by the defendant specifically charges immovable property for the allowance which he finds himself to pay to the plaintiff. She is the only person beneficially entitled under it.... although (she is) not a party to the document, she is clearly entitled to proceed in equity to enforce her claim.”

- **Provision for marriage or maintenance under family arrangement**

In a contract for a family settlement either for marriage or maintenance, where the contract is intended to benefit a third party, he may sue on the contract to secure his rights.

In the case of ***Lakshmi Ammal v. Sundararaja Iyengar***<sup>8</sup> (1914), there was an agreement among the brothers of a Hindu joint family to pay for the expenses to be incurred for the marriage of their sister. Despite being a third party to the agreement, the sister had the right to enforce the provision that was made for her. In the case of ***Veeramma v. Appayya***<sup>9</sup> (1955) the daughter of the family had the responsibility of taking care of the father. So, there was a family arrangement made for conveying the father’s house to her. Since the agreement benefited her, she had the right to file a suit for the specific performance of the contract. In ***Sundaraja Aiyangar v. Lakshmiammal***,<sup>10</sup> the partition deed between the male members of the family made a provision for the expenses for the marriage of the plaintiff, Lakshmiammal, to be contributed by the defendants, i.e., her father and brothers. She brought

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<sup>7</sup> (1910)12BOMLR638

<sup>8</sup> (1915)ILR 38MAD788

<sup>9</sup> AIR 1957 AP 965

<sup>10</sup> (1915)ILR 38MAD788

an action to enforce the agreement between the defendants. It was held that even though the plaintiff was not a party to the contract, yet the contract constituted a situation like trust in her favour and, therefore, she was entitled to the amount.

- **Acknowledgement or Estoppel**

According to the law of estoppel, if a person by words or conduct suggests something, he is not allowed to contradict it later. Thus, if a party to a contract acknowledges by words or conduct that a third party has the right to sue him, he cannot deny that later by the rule of estoppel. In such cases, a suit filed by that party, despite being a stranger to the contract, is maintainable.

In the case of *Devaraj Urs v. Ramakrishnayya*<sup>11</sup>(1951), A bought a house from B. B asked A to pay the price for the sale to B's creditor. The buyer paid a part of the price to the creditor and promised him that he would pay the rest later. On his default, the creditor filed a suit against him. The court ruled in favour of the creditor, though he was a third party to the contract.

- **Contracts entered into through an agent**

It is not uncommon for people involved in commerce and business to enter into contracts through their agents. These agents can enter into contracts for them and represent them in the relations that arise in such contracts. Thus, whatever contracts entered into by an agent while acting within the scope of his authority can be enforced by the principal. It may seem that the agent is the party to the contract, but in reality, he is more of a representative of the principal.

For example, A appoints B as his agent. He asks B to buy a bag of rice from C on his behalf. Here, B enters into a contract with C when he buys the bag of rice, but it is A who has the right to enforce the contract as B is a mere representative of A.

- **Charge created on a specific immovable property**

In certain cases, charges or covenants are made on a specific immovable property, like land for the benefit of a third party. In such cases, these third parties can enforce the contract, though they are strangers to the contract.

- **Assignment of a contract**

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<sup>11</sup> AIR 1952 KANT 109

Assignment of contract refers to the transfer or assignment of the rights and liabilities arising from contractual relations to a third party. In cases where the benefits of a contract are being assigned, the assignee of the benefits can sue upon the contract though he is not a party to the contract.

For example, a husband assigns his insurance policy in favour of his wife. As the benefit of the contract is assigned to her, she has the right to enforce the contract though she is not a party to it.

- **Collateral contracts**

Collateral contracts refer to the contract's subsidiary to the original contract. It could be entered into by the same parties or one of the original parties with another party. It can be made before or after the main contract is formed. When a third party has entered into a collateral contract, he can also file a suit to enforce the main contract in spite of not being a party to it. The best example of a collateral contract is a manufacturer's guarantee regarding the goods sold. The sale of the goods is the main contract and the guarantee is the contract collateral to it.

In the case of *Shanklin Pier Ltd. v. Detel Producers Ltd.*,<sup>12</sup> a person A was employed as a contractor by B. B asked A to buy some paint manufactured by C. B wanted A to buy C's paint because of a statement that was once made by C that the paint would last for seven years. But the paint only lasted for three months. In this case, the guarantee given by C to B forms a contract that is collateral to the contract made by A and B. The suit filed by B was maintainable even though he was not a party to the main contract.

The rule that a stranger to contract cannot sue has to be distinguished from the rule that in India a person who is stranger to consideration can sue. It has been noted that a person may not have himself given any consideration but he can enforce the contract if he is a party to the contract, because according to the Indian law, consideration may be given either by the promisee or a third party. That does not affect the rule of privity of contract.

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<sup>12</sup> [1951] 2 KB 854

### 3. Point out the distinction between contingent contract and wagering contract. What do you mean by novation?

#### Definition of wagering agreement and contingent contract

**Wagering agreement** – The Contract Act does not define a wagering agreement. The nature of such an agreement has been explained by Hawkins J. in *Carlill v. Carbolic Smoke Ball Co*<sup>13</sup>. in the following words : “A wagering contract is one by which two persons, professing to hold opposite views touching the issue of a future uncertain event, mutually agree that, dependent upon the determination of that event, one shall win from the other, and that other shall pay or hand over to him, a sum of money or other stake; neither of the contracting parties having any other interest in that contract than the sum or stake he will so win or lose, there being no other real consideration for the making of such contract by either of the parties.”

*Section 30* of the Contract Act declares wagering agreements as void.

**Contingent contract** – The Indian Contract Act 1872 which governs everything relating to a contract, mentions the term contingent contract in *Section 31 to Section 35*. According to *Section 31* of the Act, ‘a contingent contract is defined as a contract to do or not to do something on the happening or non-happening of a future uncertain event.’

#### Distinction between contingent contract and wagering agreement –

The distinction between a contingent contract and a wagering agreement is as follows –

- A contingent contract is defined under *Section 31* of the Indian Contract Act 1872. A wagering agreement is defined under *Section 30* of this Act.
- *Section 31* of the Indian Contract Act defines “contingent contract” as a contract to do or not to do something, if some event, collateral to such contract, does or does not happen. *Section 30* of the Indian Contract Act deals with the wager but it doesn’t define the term. However, a wager means a promise to pay money upon the determination and ascertainment of an uncertain event.

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<sup>13</sup> [1893] 1 QB 256

- A contingent contract may not be contingent in nature. A wagering agreement is basically contingent in nature.
- Contingent contracts are valid and enforceable in nature. Wagering agreements are void and unenforceable in nature.
- Parties to a contingent contract may or may not bind themselves by reciprocal promises. Wagering agreements bind both parties to reciprocal promises.
- The purpose of a contingent contract is to do or not to do something in response to certain events. The purpose of a wagering agreement is to win or lose the betting amount.
- A contingent contract is a contract to indemnify the loss. The wagering agreement involves paying money or money's worth on the outcome of an uncertain event.
- Contingent contracts are beneficial to society. It has been believed that wagering agreements are detrimental to the public good.
- It is only the future event that determines the outcome of a wagering agreement. In a contingent contract, the future event is only collateral.

## Novation

When the obligations created by a contract come to an end, the contract is said to be discharged or terminated. A contract may be discharged or terminated in any of the following ways:

- Performance (*Section 31–67 of the Act*)
- Impossibility of Performance (*Section 56 of the Act*);
- By Agreement (*Section 62–67*); and
- Breach (*Section 39 and 73*).

Section 62 of the Indian Contract Act, 1872, covers the concept of novation. When the parties to the contract decide that they want to discharge the contract through novation, it means that they want to substitute the existing contract with a new one.

Section 62 is based on the principle – those who create something can also put an end to it. Section 62 of the Indian Contract Act, 1872, states that when the contracting parties want to

discharge a contract, then they can: substitute a new contract in place of the old one; or rescind it or alter it.

Lord Selborne has expanded on what the novation of a contract entailed in the case of *Scarf v. Jardine (1882)*<sup>14</sup>. According to him, novation is when a new contract replaces an already existing one, either between the same parties or between different parties. The key point is that a new contract takes the place of the old one, and as a result, the old contract is discharged.

In *Shiba v Tincouri*<sup>15</sup>, the court stated that in a case based on novation, few things need to be proved by the plaintiff (I) that there existed a liability under the original contract (II) and there was an extinguishment of that liability through a new contract. In *Lata Construction v Rameshchandra Ramniklal Shah*,<sup>16</sup> it has been stated that though there is a requirement of complete substitution by a new contract if the terms are not consistent with that of the old contract then the new contract cannot be said to be a substitution of the previous one.

However, it should be noted that there should not have been a breach of contract in the existing original contract. Moreover, the contract must be valid and enforceable. For instance, in the case of *Shanker Lal Damodhar v. Ambalal Ajaipal*,<sup>17</sup> an old mortgage agreement was substituted with a new one. However, due to the fact that the new mortgage was unenforceable because it was not registered, the parties were still bound by the original mortgage agreement.

### **Kinds of Novation**

In *Ramdayal v Maji Devdiji*,<sup>18</sup> it was stated that novation can occur in two situations by introducing new terms and conditions to a contract or by the introduction of new parties to a contract. Such observation can broadly divide Novation into two types which are as follows:

- **Novation in terms of the contract**

When the parties to a contract choose to make changes to the terms of the original contract with the help of a new one then the new contract would be termed as a novated contract.

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<sup>14</sup> (1882) 7 AC 345

<sup>15</sup> (1942) 44 BOM LR782

<sup>16</sup> AIR 2000 SUPREME COURT 380

<sup>17</sup> (1964) AIR 1946 Nag 260

<sup>18</sup> AIR 1956 RAJ 12

In *R.S. Amarnath Mehra v. Union of India*<sup>19</sup>, it was held that if a contract comprises of several terms, then calling each term as a separate contract would be wrong. Similarly, fresh quotations or rates would not amount to a fresh contract. Also, minor changes in contract without an intention to create a new contract would not amount to novation.

- **Novation by the change in parties**

If in case, after the original contract becomes enforceable and then the parties choose to substitute one party with another party, it is well within their rights to do so. With the formation and enforcement of the new contract, the newly added party becomes responsible and the party that is hence substituted is discharged of its obligations under the original contract.

***Illustrations***

- (a) A owes money to B under a contract. It is agreed between A, B and C, that B shall thenceforth accept C as his debtor, instead of A. The old debt of A to B is at an end, and a new debt from C to B has been contracted.
- (b) A owes B 10,000 rupees. A enters into an arrangement with B, and gives B a mortgage of his (A's) estate for 5,000 rupees in place of the debt of 10,000 rupees. This is a new contract and extinguishes the old.

#### **4. What do you mean by quantum meruit? What is quasi contract? Enumerate the various quasi contracts dealt with in Sections 68-72 of the Indian Contract Act 1872.**

*Quantum meruit* is a Latin phrase and is related to the Indian Contract Act, 1872. It means “what one has earned” or “as much as he has earned”. In simpler terms, it refers to the actual value of the services rendered or performed. Even if there is no specific contract this law implies a promise to pay a reasonable amount for the labour and material furnished. The Black Law Dictionary states that *quantum meruit* means “as much as one deserves”.

*Quantum meruit* involves cases where someone gets a benefit while the other party gets nothing. In contracts, this refers to the benefit or enrichment which one party receives as a result of the other party's actions. In other words, it means that the other party who has

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<sup>19</sup> 51(1993) DLT 455

received the services is unjustly benefited and must return it to the party who provided such benefit.

### **Quantum Meruit vs. Unjust Enrichment**

It is very common for people to get confused between the two concepts. Both the concepts discuss the aim of preventing one party to perform the contract and the person preventing the other takes advantage of the services received without even paying for their values. The difference between the two concepts is that the unjust enrichment deals with issues where there is a failure to pay for the services and *quantum meruit* deals with such issues where the fair or reasonable amount should be paid. To be successful in a suit upon *quantum meruit*, the service provider i.e. plaintiff must prove that the receiver of the services i.e. defendant agreed to the provided services, knowing that he has to pay the plaintiff for the services provided and that the defendant was unjustly enriched, which means he received something for nothing. In simpler terms, it means that he received for the services but did not pay in return, which was not the agreement. The amount given in a suit upon *quantum meruit*, especially where there is no written contract specifying an amount, is generally based on the fair market value for the services rendered.

In the 2019 case of *Mahanagar Telephone Nigam Limited v. Tata Communications*<sup>20</sup> the Hon'ble Supreme Court of India held that a quantum meruit claim cannot be raised in the presence of a contract stipulating a specific amount for liquidated damages.

According to the court, if a contract specifies a sum for liquidated damages, only that amount is to be levied on breach, as per *Section 74* of the Indian Contract Act. Any amount beyond the stipulated sum must be refunded. This ruling clarifies that quantum meruit claims are not applicable where a contract explicitly defines the damages for breach.

The concept of quantum meruit under the Indian Contract Act, 1872, serves as a vital mechanism for ensuring fairness and justice in contractual and quasi-contractual relationships. By allowing claims for reasonable compensation for services rendered or goods supplied, it prevents unjust enrichment and promotes equitable remuneration.

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<sup>20</sup> AIR 2019 SUPREME COURT 1233

## Quasi Contracts

There are certain obligations, specified in the Indian Contract Act, that are not actually contracts because they miss one or the other elements of a contract, but are still enforceable in a court of law. Such obligations are called Quasi-contractual obligations.

Chapter V (Sections 68-72) of the Indian Contract Act, 1872 deals with "certain relations resembling those created by contract". It incorporates those obligations which are known as "Quasi Contracts" under English law. In various situations mentioned in that Chapter, a person is obliged to compensate another although the basis of this obligation is neither a contract between the parties, nor any tort on the part of the person who is bound to compensate. Quasi-contracts are based on the principle of "*Nemo debet locupletari ex aliena jactura*", which means 'No man should grow rich out of another person's loss'. Therefore, liability in the case of quasi-contractual obligations is based on the principle of 'unjust enrichment'. It essentially means that no man should get unjustly enriched at the cost of another person's loss. That means no person should gain anything unjustly, when his gaining such a thing may mean a loss for another person.

In an action for unjust enrichment, the following essentials have to be proved:<sup>21</sup>

1. The defendant has been "enriched" by the receipt of a "benefit".
2. The enrichment is "at the expense of the plaintiff".
3. The retention of the enrichment is "unjust".

An action for a quasi-contract resembles a contractual action in so far as such an action is against a certain person or certain persons, who have got the unjust benefit. Such an action, it may be further noted, is for a liquidated sum of money. The Indian Contract Act deals with the following quasi-contractual obligations:

- i. Claim for necessities supplied to a person incompetent to contract (Section 68).
- ii. Reimbursement of money paid, due by another (Section 69).
- iii. Obligation of person enjoying benefit of non-gratuitous act (Section 70).
- iv. Responsibility of finder of goods (Section 71).
- v. Liability of a person getting benefit under mistake or coercion (Section 72).

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<sup>21</sup> Mahabir Kishore v. State of M.P., AIR 1990 SC 313, at 317.

Each of these have been discussed below –

- **Section 68 - *Claim for necessities supplied to person incapable of contracting, or on his account***

If the “necessaries” for a person, who is incapable of contracting (for example, a minor or a mentally disabled person) or of the dependents of such a person are taken care of by someone, he has the right to be reimbursed from the property of such incapable person.

Although the word “necessaries” has not specifically been defined in the Act, it is impliedly clear that it means the necessities to sustain life, basic things like food, clothing, education, etc. These are things without which a person cannot reasonably exist. In simple terms, if a person A supplies another person B (who is incapable of entering into a contract) or his family or anybody else who is dependent on him, with necessities for life, he is entitled to take his due return from the property of person B. He is entitled only to such a reasonable amount as the value of the goods or services he may have supplied hold.

*Illustration* – A supplies wife and children of B, a lunatic, with necessities suitable to their condition in life. A is entitled to be reimbursed from B’s property.

An agreement by a minor, or any person incompetent to contract is void ab initio. No action under a contract can be brought against a person for a claim for necessities supplied to such incompetent person or his dependents. The claim cannot be enforced against such incompetent person, but reimbursement can be claimed only from the property of such a person.

- **Section 69 - “*Payment by an interested person*”**

Payment by an interested person is the second situation under which a quasi-contract can be formulated and this situation is explained under *Section 69* of the Indian Contract Act, 1872. *Section 69* contains the following provision in this regard:

“69. Reimbursement of person paying money due by another in payment of which he is interested. A person who is interested in the payment of money which another is bound by law to pay, and who therefore pays it, is entitled to be reimbursed by the other”.

The general purport of the Section is "to afford to a person who pays money in furtherance of some existing interest an indemnity in respect of the payment against any other person who, rather than he, could have been made liable at law to make the payment."<sup>22</sup>

In *Brook's Wharf v. Goodman Brothers*,<sup>23</sup> the defendants warehoused certain goods which they had imported from Russia, with the plaintiffs. The goods were stolen. Under the law the customs duty on the goods could be recovered either from the owners of the goods, or from the warehouseman. The warehouseman, i.e., the plaintiffs were called upon to pay the customs duty which the owners of the goods, i.e., the defendants were bound by law to pay. The plaintiffs claimed the amount of the duty paid by them from the defendants. It was held that they were entitled to recover the same.

- **Section 70 - *Obligation of person enjoying the benefit of the non-gratuitous act***

When a person lawfully does something for another person (for example, delivers a good or a service) without intending to do so 'gratuitously', and the other person enjoys the benefit of the delivery of that good or service, the latter is bound to make compensation to the former in respect of, or to restore, the thing so done or delivered. A gratuitous act is one that is done for a person by another without the expectation of a return.

For the application of this Section, the following conditions are to be satisfied:

- i. A person should lawfully do something for another person, or should deliver something to him;
- ii. The person making the payment or delivering the thing must not do so gratuitously, i.e., he should expect payment for the same; and
- iii. The other person should enjoy the benefit of this payment or the delivery of the thing.

In *Damodara Mudaliar v. Secretary of State*<sup>24</sup> for India, the Government repaired a certain tank, which had irrigated lands belonging to the Government itself and also the lands belonging to the defendants, who were zamindars. The Government did not undertake the repairs gratuitously. The defendants had the knowledge of the repairs being done by the Government and they also enjoyed the benefit of the repairs which were thus made by the

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<sup>22</sup> Govindram Gordhandas v. State of Gondal, AIR 1950 PC 99, at p. 104

<sup>23</sup> (1936) 56 L.L.Rep. 71

<sup>24</sup> (1895) ILR 18 Mad 88

Government. It was held that the plaintiff (Government) was entitled to recover from the defendants the part of the cost of repairs in proportion to the lands belonging to the defendants.

- **Section 71 – Responsibility of finder of goods**

[Section 71](#) of the [Indian Contracts Act](#) deals with the provisions related to the responsibilities of the finder of the lost goods. It says that when any person finds a lost good belonging to another person and takes those goods into his custody, the finder of lost goods is subject to act as the bailee to the real owner of that goods and he has the same responsibility as a bailee towards the owner of that goods. The position of the finder of lost goods has been considered with the agreement of bailment. As per [Section 148](#) of the Indian Contracts Act, 1872, a bailment is an act of delivering goods to a person for any purpose or to accomplish the motive. The person delivering such goods is the bailor and to whom the goods have delivered is the bailee. A bailment is an act of placing the goods in the custody of another person using an agreement in which the bailee is obliged to keep those goods safe and return it when the terms and conditions of the agreement are fulfilled.

[Section 168](#) and [Section 169](#) of the Indian Contract Act, 1872 confers the following rights to the finder of goods:

- **Section 168: Rights of Finders of Goods**

- **Right of Lien:** A finder can retain lost goods until receiving compensation for expenses incurred in finding or preserving the goods. However, they cannot sue the owner for these expenses.
- **Right to Claim Reward:** If the owner announces a specific reward for the return of lost goods, the finder can claim this reward and retain the goods until it is paid.

- **Section 169: Right to Sell Found Goods**

A finder may sell lost goods if:

- i. The goods are perishable or rapidly losing value.
- ii. The owner cannot be found despite reasonable diligence or refuses to pay the finder's lawful expenses, which exceed two-thirds of the goods' value.

## Duties of the Finder of Goods

Under the Indian Contracts Act, the finder of lost goods acts as a bailee and has the following duties toward the owner:

1. *Section 151*: The finder must take care of the goods as a prudent person would, similar to how they would care for their own belongings. Failure to do so disallows them from claiming they took similar care for their own goods.
2. *Section 152*: The finder is not liable for loss or damage to the goods if they have exercised the appropriate level of care, unless a special contract states otherwise.
3. *Section 153*: The actual owner can terminate the bailment if the finder uses the goods in a manner inconsistent with the terms of the agreement.
4. *Section 154*: If the finder improperly uses the goods, they are liable for any resulting damage.
5. *Section 155*: If the finder mixes the found goods with their own with the owner's consent, both parties share proportionate interests in the mixture.
6. *Section 156*: If the goods are mixed without consent and can be separated, the costs of separation fall on the finder.
7. *Section 157*: If the goods cannot be separated after unauthorized mixing, it constitutes a loss, and the finder must compensate the owner.
8. *Section 160*: The finder must return the goods to the owner within the specified time frame.
9. *Section 161*: If the finder fails to return the goods on time due to their fault, they are liable for any damages incurred by the owner during that period.

- **Section 72- Liability of a person getting benefit under mistake or coercion**

*Section 72* of the ICA deals with the liability of a person to whom the money is paid or thing delivered, by mistake or under coercion. This section states that a person to whom money has been paid, or anything delivered, by mistake or under coercion, must repay or return it. This section is based on the doctrine of unjust enrichment and incorporates the rule of equity. This section must refer to a payment which was not legally due, and which could not have been enforced.

*Illustrations*: A and B jointly owe 100 rupees to C, A alone pays the amount to C, and B, not knowing this fact, pays 100 rupees over again to C. C is bound to repay the amount to B.

**Case law - *Sales Tax Officer v. Kanhaiya Lal Saraf*<sup>25</sup>.**

In this case, it was held that the money paid under mistake is recoverable whether the mistake be of fact or of law. The term mistake has been used without any limitation under section 72 of ICA.

**Case law - *Trilok Chand Moti Chand v. Commr. Of Sales Tax*:<sup>26</sup>**

The Supreme Court in this case exemplified the scope of the word 'mistake'. The Court held that the payment made under coercion would have been recoverable under *section 72* of ICA had it not been for the expiry of the period of limitation. The payment under coercion has to be treated in the same way for the purpose of a claim as the payment under mistake of law.

## **5. What is consideration? What are the essentials of lawful consideration? Explain “No Consideration No Contract”.**

### **Definition of consideration**

Presence of consideration is one of the essentials of a valid contract<sup>27</sup>. The meaning of consideration can be derived from the Latin term “*quid pro quo*,” which means “something for something.” It states that each party entering into a contract should offer something to the other party. The definition of consideration under Indian law (Indian Contract Act, 1872) has a more flexible approach than that of English law.

According to [Section 2\(d\)](#) of the Indian Contract Act, 1872, “when, at the desire of the promisor, the or any other person has done or abstained from doing, or does or abstains from doing, or promises to do or to abstain from doing, something, such act or abstinence or promise is called a consideration for the promisee.”

In the following definition, a promisor is the party that performs a promise and a promisee is the party to which a promise is made. Many other legal scholars have also defined the term “consideration.” These are as follows:

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<sup>25</sup> AIR 1959 SUPREME COURT 135

<sup>26</sup> AIR 1969 SC 966

<sup>27</sup> Section 10

- **Blackstone** states, “Consideration is the recompense given by the party contracting to the other.”
- **Pollock**, states, “Consideration is the price for which the promise of the other is brought, and the promise thus given for value is enforceable.”
- **Patterson**, states, “Consideration means something, which is of some value in the eye of the law. It may be some benefit to the plaintiff or some detriment to the defendant.”

Consideration may be thought of as the concept of value offered and accepted by people or organizations entering into [contracts](#). Anything of value promised by one party to the other when making a contract can be treated as "consideration":

For example, if A contracts to buy a car from B for \$5,000, A's consideration is the promise of \$5,000, and B's consideration is the promise of the car.

### **Essentials of lawful consideration**

#### **1. Consideration can only be moved at the desire of the promisor**

One of the essential elements of consideration is that it must be given at the desire or request of the promisor. This means that consideration must be given voluntarily by the promisee or any other person, and not be something that is imposed or forced upon them. In other words, consideration must be given as a result of the promisor's request or demand.

*Section 2(d) of the Indian Contract Act* states that consideration must be done or promised to be done “at the desire of the promisor.” This means that consideration must be given willingly in response to the promisor's request, and not under any compulsion or obligation.

In the case of *The Municipal Corporation of Bombay v. Secretary State of India*<sup>28</sup> states that it was established and that the subscriber had full knowledge of the purpose of the subscription and had a duty to pay the contractor for their work based on the subscription. Hence, in the current scenario, the promisor's act of entering into a contract with the contractor can be deemed to be made at the promisor's desire.

#### **2. Consideration by promisee or any other person**

Another element of valid consideration is consideration can be given not only by the promisee but also by any other person. This means that a third party can provide

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<sup>28</sup> (1934) 36 BOM LR568

consideration in a contract, and such consideration would be valid as long as it fulfils the other essentials of consideration.

*Section 2(d) of the Indian Contract Act* also mentions that consideration can be given by “the promisee or any other person.” This means that consideration can be provided by someone other than the promisee, and such consideration would still be valid as long as it meets the requirements of consideration.

### **3. Consideration can be past, present, or future**

Consideration can be classified into three types: past consideration, present consideration, and future consideration. Past consideration refers to an act or forbearance that has already taken place before the contract is formed. Present consideration refers to consideration that is being exchanged at the time of forming the contract. Future consideration, on the other hand, refers to something that is promised to be done in the future.

*Section 2(d) of the Indian Contract Act* recognizes past consideration as valid consideration, stating that an act or forbearance that has already taken place can be considered as consideration. However, future consideration, which is a promise to do something in the future, must be supported by some present consideration to make the contract valid.

In the case of *M/S Atma Ram Properties Pvt Ltd v. M/S Federal Motors Pvt Ltd*<sup>29</sup>, the Supreme Court ruled that when a decree for eviction of a tenant has been issued, the tenant is obligated to pay the mesne profits or compensation for the use and possession of the premises at the same rate that the landlord would have charged if the tenant had vacated. Furthermore, the landlord is not bound by the contractual rate of rent during the pendency of proceedings at a superior forum on the same issue.

### **4. An act, or promise by the promisee forms consideration**

Another element of valid consideration is consideration can be in the form of an act, abstinence, or promise by the promisee. An act can refer to doing something that one is not legally obligated to do, while abstinence refers to refraining from doing something that one has the legal right to do. Promise, on the other hand, refers to making a commitment to do something in the future.

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<sup>29</sup> AIRONLINE 2004 SC 597

*Section 2(d) of the Indian Contract Act* states that consideration can be in the form of “an act or forbearance or promise.” This means that consideration can take different forms, and as long as it involves an act, abstinence, or promise by the promisee, it would be considered as valid consideration.

## **5. Consideration need not to be adequate**

Indian Contract Act does not require consideration to be of equal value, but it does require consideration to be adequate.

In simple words, another essential of valid consideration is that consideration must have some value in the eyes of the law, and it should not be too minimal or illusory to form.

While the Indian Contract Act does not specifically mention the requirement of [adequacy of consideration](#), it is a well-established legal principle that consideration must be adequate.

Courts in India have held that consideration must have some value, and a grossly inadequate consideration can be a ground for invalidating a contract.

In the case of *K Kumara Gupta v. Shri Omkareshwar Swami Temple*<sup>30</sup>, the Supreme Court held that in a public auction where the sale is made to the highest bidder, subsequent offers by third parties would not be considered to set aside the sale. Such action could only be taken if there was inadequate consideration due to fraud, collusion, misrepresentation, or material irregularity in conducting the public auction.

## **6. Consideration should be real**

Consideration must be real and not illusory. This means that consideration must involve a genuine exchange of value between the parties to the contract. It cannot be a mere pretense or illusion without any substance or value.

*Section 25 of the Indian Contract Act* states that an agreement without consideration is void, except in certain specific cases mentioned in the Act. This implies that consideration must be real and genuine for a contract to be valid and enforceable.

## **7. Consideration should be legal**

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<sup>30</sup> 2022 LiveLaw (SC) 182

Consideration must be lawful and not against public policy or prohibited by law. This means that consideration must not involve any illegal or immoral acts, and it must be in compliance with the law of the land.

### **No consideration no contract –**

The principle “no consideration, no contract” means that for a contract to be valid and enforceable, there must be an exchange of something of value between the parties involved. This exchange is known as “consideration.”

Consideration is an essential element of a contract, and it can take many forms. It can be money, goods, services, or a promise to do or not do something. Essentially, consideration is something that one party gives or promises to the other party in exchange for something else. Without consideration, there is no contract.

For example, if a person promises to paint a house for free without receiving anything in return, there is no contract because there is no consideration. However, if the same person agrees to paint the house in exchange for payment, a contract is formed because there is a consideration (the payment) exchanged between the parties.

It's worth noting that consideration does not need to be of equal value between the parties, but it must be something of value. Also, past consideration or moral consideration is not valid in Indian Contract Law.

In short, consideration is an important element of a contract and is what makes a contract legally binding. Without consideration, there is no contract, and any promises made by the parties will not be enforceable in court.

### **Exceptions to the principle of no consideration, no contract-**

The principle “no consideration, no contract” is a fundamental principle of contract law, which states that for a contract to be valid and enforceable, there must be an exchange of something of value between the parties involved. However, there are a few exceptions to this principle. These have been discussed below.

- **Section 25**

Section 25 of the Indian Contract Act, 1872, provides for the rule that “*agreements without consideration are void unless they are in writing and registered, are a promise to compensate for something done, or are a promise to pay a debt barred by limitation law.*”

This Section states that an agreement without consideration is void unless it satisfies certain conditions. For example, an agreement to compensate for something done in the past or an agreement to pay a debt that is barred by the Limitation Act are exceptions to the rule of no consideration, no contract.

Here are some examples of how Section 25 is applied:

- A promises to pay B a sum of money that B lent to A 10 years ago. Even though the loan was made 10 years ago and is barred by the Limitation Act, A's promise to pay is still enforceable under Section 25.
- C, a shopkeeper, promises to pay D, a customer, for goods that D had bought from C's shop a month ago. Even though the goods were bought a month ago and D has not done any act or provided any service in return, C's promise is still enforceable under Section 25.

It's worth noting that for an agreement without consideration to be enforceable under *Section 25*, it must be in writing and registered. This requirement is intended to ensure that there is a written record of the agreement, which can be used as evidence in case of a dispute.

In summary, *Section 25 of the Indian Contract Act, 1872*, states that an agreement without consideration is void unless it satisfies certain conditions, such as being in writing and registered, is a promise to compensate for something done, or is a promise to pay a debt barred by limitation law.

- **Natural love and affection**

The principle “no consideration, no contract” states that for a contract to be valid and enforceable, there must be an exchange of something of value between the parties involved. However, there are a few exceptions to this principle, one of them is “natural love and affection,” which is an exception to the rule of no consideration, no contract.

Natural love and affection refer to the emotional bond between family members, such as parents and children, siblings, and spouses. When a contract is entered into based on natural love and affection, it is considered binding even if there is no consideration.

For example, if A promises to transfer a piece of land to B, A's child, as a gift based on natural love and affection, there is no consideration, but it is still a valid contract.

It's worth noting that for an agreement based on natural love and affection to be enforceable, it must be in writing and registered. This requirement is intended to ensure that there is a written record of the agreement, which can be used as evidence in case of a dispute.

It's also worth noting that the Indian Contract Act 1872, which governs contract law in India, does not specifically mention natural love and affection as an exception to the rule of no consideration, no contract. However, courts have recognized the exception in certain cases.

In conclusion, love and affection are exceptions to the rule that if there is no consideration, there is no contract. This means that agreements between family members can be binding even if there is no consideration. It's important to note that the agreement should be in writing and registered for enforceability.

- **Promissory estoppel**

This doctrine holds that a promise, although not supported by consideration, can be enforced if the promisor should reasonably expect the promisee to rely on the promise and if the promisee does, in fact, rely on the promise to his detriment. For example, if A promises to B that he will transfer a piece of land to B and B, in reliance on that promise, incurs expenses to improve the land, A may be estopped from denying the existence of consideration for the promise.

- **Contracts under seal**

Contracts under seal, also known as formal contracts or specialty contracts, are contracts that are executed under seal and are considered binding without consideration. For example, a contract executed under seal between A and B would be considered binding even if there was no consideration.

- **Past voluntary services**

Past voluntary services refer to services that were performed voluntarily and gratuitously in the past and for which a promise of compensation was made subsequently. When a contract is entered into based on past voluntary services, it is considered binding even if there was no consideration at the time the services were rendered.

For example, if A voluntarily takes care of B's elderly parent for a year and B subsequently promises to pay A a sum of money as compensation, there was no consideration when the services were rendered, but the contract is still valid because of the promise to pay.

It's worth noting that for an agreement based on past voluntary services to be enforceable, it must be in writing and registered. This requirement is intended to ensure that there is a written record of the agreement, which can be used as evidence in case of a dispute.

It's also worth noting that the Indian Contract Act, 1872, which governs contract law in India, does not specifically mention past voluntary services as an exception to the rule of no consideration, no contract.

In the case of *Raj Lakhi Devi V. Bhoothnath*<sup>31</sup> husband promised to pay to his wife, after constant quarrels between them, a fixed monthly amount for her maintenance and separate residence without any consideration. The promise was in writing and registered. When he refused to pay, the wife filed a case.

The agreement was declared void by the Court on the ground that the exception was not applicable as there was no natural love left between them.

A time-barred debt refers to a debt that is past the statute of limitations set by the Limitation Act, 1963, and thus cannot be enforced through legal action. However, if the debtor voluntarily promises to pay such a debt, it can be enforceable.

For example, if A borrowed money from B 10 years ago and the statute of limitations for the debt has expired, B cannot legally enforce the debt. But if A voluntarily promises to pay the debt, a contract is formed even though there is no consideration.

*Section 25 of the Indian Contract Act, 1872*, provides for this exception and states that an agreement without consideration to pay a time-barred debt is not void but enforceable.

- **Creation of an agency**

An agency is a relationship between two parties in which one party (the principal) authorises another party (the agent) to act on its behalf. In an agency agreement, the agent is appointed to perform certain tasks on behalf of the principal, and the principal is bound by the actions of the agent.

For example, A, the principal, appoints B, the agent, to sell A's property. Even though there is no consideration when the agency agreement is made, the contract is still binding because the

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<sup>31</sup> 1900 4 CWN 488

agent is authorised to act on the principal's behalf, and the principal is bound by the actions of the agent.

It's worth noting that for an agency agreement to be enforceable, it must be in writing and registered. This requirement is intended to ensure that there is a written record of the agreement, which can be used as evidence in case of a dispute.

- **Gift**

A gift is a voluntary transfer of property from one person to another without any consideration. In other words, when a person makes a gift, they do so freely, without receiving anything in return. Even though there is no consideration, a gift is still considered a valid contract.

For example, if A gives B a car as a gift, there is no consideration, but it is still a valid contract.

It's worth noting that for a gift to be enforceable, it must be made voluntarily and without any coercion or undue influence. Also, there must be an intention to make a gift, and the gift must be accepted by the donee.

- **Bailment**

Bailment is the legal relationship created when one party (the bailee) is entrusted with the possession and control of property owned by another party (the bailor) for a specific purpose. In a bailment, there is no exchange of consideration, but it is still considered a valid contract.

For example, if A entrusts B with possession and control of A's car for the purpose of repairing it, there is no consideration, but the contract is still valid.

It's worth noting that for a bailment to be enforceable, it must be made voluntarily and without any coercion or undue influence. Also, there must be an intention to create a bailment, and the bailment must be accepted by the bailee.

It's also worth noting that under the Indian Contract Act 1872, a bailment is considered a special contract and is governed by the Indian Contract Act 1872, under [Sections 148 – 181](#).

- **Charity**

Charity refers to the act of giving money, goods, or services to organisations or individuals in need without receiving anything in return. In other words, when a person makes a charitable

donation, they do so freely, without receiving any consideration. Even though there is no consideration, a charitable donation is still considered a valid contract.

For example, if A gives money to a charitable organisation, there is no consideration, but it is still a valid contract.

It's worth noting that for a charity to be enforceable, it must be made voluntarily and without any coercion or undue influence. Also, there must be an intention to make a charitable donation, and the donation must be accepted by the donee.

It's also worth noting that under the Indian Contract Act 1872, charitable donations are not considered contracts. However, charitable donations are considered a form of gift and are governed by the *Indian Transfer of Property Act, 1882*.

Consideration is a key factor in ensuring the integrity of contracts and the legal certainty of contractual obligations. In conclusion, the rule of “no consideration, no contract” is a fundamental principle of contract law, which holds that a contract must have consideration in order to be legally enforceable. Consideration refers to something of value that is exchanged between the parties to a contract. The requirement of consideration ensures that both parties have given something of value in exchange for the contract and provides a legal foundation for the contract. The absence of consideration can render a contract void and unenforceable. However, there are exceptions to this rule, and those have already been elaborated on above.

## **6. Define the term Free Consent and Consent. Discuss the effect of Undue Influence**

### **Consent**

Consent is a crucial part without which no valid contract or anything within the contract is possible. In the Indian Contract Act, the definition of Consent is given in *Section 13*, which states that “*it is when two or more persons agree upon the same thing and in the same sense*”. So, two people must agree to something in the same sense as well.

It implies a meeting of minds. if there is no consent then there is no meeting of minds. In case of no consent, the contract is void. In the case where there is no consent of the party, the party does not acquire the right over the property and even such property is passed on to another party then the other party does not have a right over it.

For example, suppose A wants to marry B and B also agrees to that, therefore as both A and B decides to marry each other so here there is consent between both of them.

## Free Consent

In the Indian Contract Act, the definition of consent is given in [Section 14](#), which states that *“it is when two or more persons agree upon the same thing and in the same sense”*. Free consent serves as an asset in the decisions of both parties as Free Consent emerges from the mutual trust and cooperation of both companies. This gives rise to smooth functioning as quarrels and disputes are reduced to a greater extent because if one party is willing to do something, the other party will co-operate.

### Elements of the Free Consent -

For consent to be considered Free Consent, it should meet certain requirements as given below:

- The contract should not be formed under someone's pressure or undue influence.
- The contract should be a result of the agreement of both the companies. There should be consent and willingness to work together in both companies.
- The contract should be free of any fraud.
- There should be mutual trust in both parties.
- All the points in the contract should be clearly stated to avoid misconceptions.

### Some common factors that contribute to the violation of Free Consent are:

- **Coercion (S.15)** : When one party compels or forces the other party to enter into a contract with it by means of threatening or blackmailing. So there exists no free will, and hence it violates Free Consent.
- **Mistake or Misrepresentations (S.18)** : When there is a lack of communication between two parties, or some other party gets involved in the decision-making, then it gives birth to quarrels and misconceptions. It violates the rule of Free Consent as there is no room for quarrels or fights. It promotes peace.
- **Undue Influence (S.16)** : When the party with higher authority dominates the other party and decides as per what the party with higher position wants and suppresses the desires of the other party, then it violates the Free Consent as both the parties have equal rights in decision making. It's mostly seen in husband and wife or tenants and landlords.

- **Fraud (S.17) :** When one party cheats another party or hides or is dishonest or disloyal or then is no complete transparency between both the parties or if one of the parties fails to commit to its promises, then it's a case of Fraud. Therefore, free consent is the result of the mutual trust of both the parties in each other, it cannot be hampered by none of the above mentioned.

In *Ranganayakamma v. Alwar Setti*,<sup>32</sup> the question before the Madras High Court was regarding the validity of the adoption of a boy by a widow, aged 13 years. On the death of her husband, the husband's dead body was not allowed to be removed from her house for cremation, by the relatives of the adopted boy until she adopted the boy. It was held that the adoption was not binding on the widow as her consent had been obtained by coercion.

### **Effect of undue influence**

#### **Definition of undue influence:**

*Section 16(1) of the Indian Contract Act 1872 defines the term 'Undue Influence' as follows: A contract is said to be induced by undue influence where (i) the relations subsisting between the parties are such that one of the parties is in a position to dominate the will of the other, and (ii) he uses the position to obtain an unfair advantage over the other.*

A person is deemed to be in a position to dominate the will of another in cases where:

- One party holds real or apparent authority over the other.
- One party stands in a fiduciary relationship with the other.

One party makes a contract with a person whose mental ability for decision-making is temporarily or permanently affected because of his age, illness, or mental or physical distress. For example, an old illiterate person.

In case law of *Merci Celine D'Souza v. Renie Fernandez*<sup>33</sup>, the plaintiff a mentally infirm person, incapable of protecting his interest and totally dependent on the defendants for his existence, gifted his property in favour of the defendants. It was found that the defendants had obtained an unfair advantage and the gift deed was not attested by the two witnesses as required by law. It was held that the settlement deed of the property was liable to be set aside on the ground of undue influence.

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<sup>32</sup> ILR (1889) 13 Mad. 214.

<sup>33</sup> AIR 1998 Kerala 280.

Under undue influence, the dominant party must have the objective of taking advantage of the other party. If influence is wielded for the benefit of the other party, it will not be undue influence. But if the consent is not free due to undue influence, the contract will be voidable at the option of the aggrieved party. In such a case the burden of proof will be on the dominant party to prove the absence of influence.

Undue influence is a contract law principle that looks at the quality of consent and considers whether each party provides their consent to a contract freely and voluntarily. In particular, it looks at whether the relationship between the parties forced one party to sign when they otherwise might not want to. At its core, the principle states that a party cannot give proper consent if they have been:

- a. forced;
- b. pressured; or
- c. coerced.

In this sense, undue influence can look like many things, including:

- a. Consistently bothering someone to do something;
- b. Strongly pushing for someone to do something;
- c. Excessively flattering someone to influence them;
- d. Deceiving or misleading someone; insinuating and suggesting outcomes, either positive or negative, and also tricking and lying to someone.

***Illustrations for Undue Influence:***

1. Suresh, a student, agrees to pay ₹15,000 to his teacher, as he promised to give him better grades in practical physics. Here, Suresh is under the undue influence of his teacher.
2. Monica is a psychologist for Ross. Ross was consulting with Monica to treat his mental health. Monica was aware that Ross had a flat in Pune, which was worth ₹ 5 crore. However, Monica, using her place of power, convinced Ross that the house he possessed wasn't according to the Vaastu and he should sell it. Monica purchased the flat from Ross for a mere ₹ 10 lakh.
3. Manish, a minor entered into a contract with Misti. However, Manish failed to understand the complex terms of the contract, and Misti took advantage of this and conveyed the wrong terms to Manish. It will amount to undue influence.

### Effect of Undue Influence:

- *Section 19A of the Indian Contract Act, 1872* has established that an agreement that is induced by undue influence or where the aggrieved party has entered the contract by getting affected by undue influence is voidable at the option of that party whose consent was taken by influencing him. The act has also established that the performance of such agreements may be avoided either absolutely or by prescribing certain terms and conditions.

For example, X's son has forged Y's name on a promissory note. Y, under the threat of prosecuting X's son, obtains a bond from X for the amount of the forged note. If Y sues on this bond, the court may set the bond aside.

- In case law of *Williams v Bailey*<sup>34</sup>, A son forged his father's signature on promissory notes and gave them to their bankers. At a meeting of all the parties at the bank, one of the bankers said to the father: "If the bills are yours, we are all right; if they are not, we have only one course to pursue; we cannot be parties to compounding a felony." The bank's solicitor said it was a serious matter and the father's own solicitor added, "a case of transportation for life." After further discussion as to the son's financial liability the bank's solicitor said that they could only look to the father. The father then agreed to make an equitable mortgage to the bank in consideration of the return of the promissory notes. The father succeeded in an action for cancellation of the agreement.

It was held by Lord Westbury that the security given for the debt of the son by the father under such circumstances, was not the security of a man who acted with that freedom and power of deliberation that must be considered as necessary to validate a contract to give security for the debt of another.

Undue influence leads the contract voidable; it creates undue advantage of one party leading to harm of that individual. It therefore creates partiality as there is no free consent resulting in disparities.

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<sup>34</sup> (1866) LR 1 HL 200

## **7. What is proposal? How to make a proper proposal? How revocation of proposal is made? What is acceptance? Is it possible to revoke an acceptance, discuss with illustration.**

### **Proposal Meaning –**

According to [Section 2\(a\) of the Indian Contract Act, 1872](#), “when one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal”.

A proposal must be definite and specific in its terms, and it should be communicated to the other party with the intention of obtaining their acceptance. Once the other party accepts the proposal, it becomes a promise, and the terms of the contract bind the parties. If the proposal is not accepted, it will be considered a mere invitation to offer, and it will not create any legal obligation between the parties.

Examples:

- A company (A) offers to sell its products to another company (B) for a certain price. The offer is made in writing and sent via email to company B. This offer is a proposal, and if company B accepts the offer, it becomes a binding contract.
- A person (A) offers to sell their car to another person (B) for a certain amount. The offer is made orally during a conversation between the two parties. This offer is also a proposal, and if person B accepts the offer, it becomes a binding contract.
- A construction company (A) submits a proposal to a government agency (B) for building a new bridge. The proposal includes the details of the project, such as the cost, timeline, and specifications. This proposal is an offer to enter into a contract with the government agency (B), and if the agency accepts the proposal, it becomes a binding contract.

### ***Fisher v. Bell (1961):***

This case established the principle that a display of goods in a shop window or on a shelf is generally an invitation to treat and not an offer. The customer's offer to purchase the goods at a certain price would constitute a proposal, and the shop owner's acceptance of the proposal would form a binding contract.

## Essentials of valid proposal

- a. There must be at least two parties, one making the proposal and the other agreeing to it.
- b. Expression of willingness to do or abstain from doing to obtain other's assent.

### A proposal has the following ingredients:

- i. One person signifies to another.
- ii. His willingness to do or abstain from doing anything.
- iii. With a view to obtaining the assent of that other.
- iv. A casual inquiry is not a proposal.
- v. Intention to Contract

A proposal must be such that when accepted it will result in a valid contract. A mere social invitation cannot be regarded as an offer, because if such an invitation is accepted it will not give rise to any legal relationship.

*Section 9 of Indian Contract Act* provides that a valid proposal may be made by words (express offer) or by conduct (implied offer).

- **Certainty of Proposal**

The terms of the offer must be certain and not vague.

- **Communication of Proposal**

proposal must be communicated to the other party.

If the proposal has not yet been communicated, even if somebody acts according to the terms of the proposal, he cannot be deemed to be the acceptor of that proposal.

Communication is necessary whether the offer is general or specific.

## Revocation of Proposal

A contract is said to be complete when there is an offer and acceptance of that offer, and there are other basic requirements which need to be fulfilled such as free consent, lawful consideration and competency. Consensus ad idem meaning meeting of minds for the formation of contract is also a necessary element. But there are certain important intermediary elements in between which are essential and can result in the change in course of events. The contract can terminate before attaining the finality between promisor and

promise. This termination would take place in case certain stipulations were fulfilled. This is called revocation.

Revocation means act of annulment. *Section 5* of the Indian Contract Act, 1872 lays down the rules of Revocation of Proposal. *Section 5* says that a Contract can be revoked any time before the communication of acceptance is made to the proposer and not afterwards. Once the communication of acceptance is made then the contract cannot be revoked. *Section 6* of the Indian Contract Act, 1872 lays down the methods by which a revocation of proposal is made. This article deals with the methodologies that are prescribed by the Indian Contract Act, 1872 by which revocation can be put to practice. The following methodologies are mentioned below;

- **Notice of Revocation:**

First method is revocation of a proposal by communication of notice. A proposal/offer may be revoked by the proposer/offeree by giving notice to the offeree before it is accepted. Notice of revocation will take effect when it is in the knowledge of the offeree before the communication of acceptance.

For example: Amit offers Balraj his car for INR 2,00,000 and communicates the same through letter. Before Balraj accepts the proposal and communicates its acceptance to Amit, Amit withdraws his offer by informing Balraj. There will be no contract as the proposal has been revoked by Amit before the acceptance of the proposal.

- **Lapse of Time:**

Second method is revocation of proposal by lapse of time period. If there is a time period prescribed for acceptance, then the proposal gets revoked if the acceptance is not communicated before expiry of the prescribed time period.

For example: Amish applied for shares on 1st September, 2019 but the shares were allotted to Amish on 1st of September, 2020. Amish therefore refused to take the notice of revocation will take effect when it is in the knowledge of the offeree before the communication of acceptance.

- **Condition precedent to acceptance is not fulfilled**

A proposal can be revoked if the condition precedent to acceptance is not fulfilled.

Sometimes, a proposer may ask the offeree to fulfil certain conditions before acceptance of

the proposal, if the offeree fails to comply with those conditions prescribed in the communication of proposal, the proposal can revoke the offer. Thus, if these condition precedent to acceptance is not fulfilled, the proposal/offer lapses.

For example: Jitesh offers to sell his Rolex watch to Kamlesh for INR 50,000. Jitesh put a condition to pay half of the amount with the acceptance letter. Kamlesh communicates the acceptance but fails to pay the amount. Jitesh has the right to revoke the proposal as the condition precedent is not satisfied by Kamlesh.

- **Death or Insanity of Proposer:**

Another method by which a proposal can be revoked is by the death or insanity of the proposer. A proposal can be revoked by the death or insanity of the proposer, if the fact of his death or insanity comes into the knowledge of the offeree before the communication of acceptance.

Under English Law, a proposal can be revoked even after acceptance by the offeree if the acceptance is made in ignorance of fact about the proposer's death or insanity. For example: Zainul offers to rent his house for a period of 5 years to Gauri. Gauri came to know about the insanity of Zainul and revoked the proposal before acceptance.

- **Rejection of Proposal:**

Rejection of proposal is another method for revocation of proposal. A proposal can be rejected if it is not accepted by the offeree. Once the proposal is rejected it can be revived again by the offeree.

For example: Ali by letter offers his car to Haider for INR 3,00,000. Haider rejects the offer of Ali, now Haider cannot revive it again as once the offer is rejected it cannot be revived again.

- **Death of Offeree:**

Death of an offeree is also a way by which a proposal can be revoked. A proposal which is communicated for acceptance can be revoked if the offeree who has to communicate the acceptance is dead before the communication of acceptance of proposal. For Example: Ajay by letter offers to sell his house to Vijay. Before the communication of acceptance Vijay dies, the proposal is revoked as there is no acceptance on the part of the offeree.

- **Counter Offer:**

A proposal is revoked if a counter offer is made to it. Offeree accepts the proposal after modifications and variations in the original offer, then the proposal made by the offeree is called a counter offer. The acceptance of counter offer amounts to rejection of original offer.

For example: Sonu offers his watch to Monu for INR 2,000. Monu said that he will buy this watch for INR 1,500. Sonu's proposal is revoked as there is a counter offer for the same and therefore the original offer lapse. Acceptance not being made in the mode prescribed

If the proposer prescribed a certain mode for the communication of acceptance, then the communication of acceptance by the offeree should be done strictly in the mode prescribed by the proposal. In case, the proposal is not accepted in the prescribed mode, then the proposer can revoke the proposal.

For example: Company selected a software engineer and sent him an offer letter by email and asked him to reply within 7 days through an email only. The software engineer communicates the acceptance by posting the letter through speed-post. The offer letter clearly mentioned that acceptance should be communicated through email only. Therefore, the offer is revoked.

- **Subsequent illegality of the subject matter of a proposal:**

A proposal can be revoked if it becomes illegal before its acceptance by the offeree.

For example: Manufacturer offers to wholesaler tobacco worth INR 50,000. Before the communication of acceptance, there was a State Government order declaring sale of Tobacco is illegal. Thus, the offer lapse as there is illegality of the subject matter of the proposal. Subsequent destruction of subject matter of a proposal.

- **Subject matter of the proposal is destroyed**

A proposal can be revoked if the subject matter of the proposal is destroyed before the acceptance by the offeree.

For example: Seller offers to sell firecrackers to the wholesaler and asks the wholesaler to communicate the acceptance within 5 days. On the 3rd day, the fire broke and all the firecrackers were burnt. As the subject matter of the proposal is destroyed, therefore the proposal lapse. Subsequent destruction of subject matter of a proposal.

In the case *Nutakki Sesharatnam v. Sub collector*<sup>35</sup>, the landowner offered land for acquisition if the lump sum amount for the land is paid. Plaintiff withdrew the offer before the Acquisition officer prepared the award of acceptance. The court held that the offer revoked is valid. Thus, the communication of revocation should reach the offeree before communication of acceptance.

### **Acceptance meaning**

Acceptance is defined under [Section 2\(b\) of the Indian Contract Act, 1872](#) as “When the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted. A proposal, when accepted, becomes a promise.” This Section states that an offer is accepted when the offeree to whom the proposal is made accepts the offer without any condition. When the offer is accepted then the proposal becomes a promise and it is irrevocable. An offer does not have any legal obligation but as soon as the offer is accepted, it creates a legal obligation on the parties and therefore it cannot be revoked. The offer can be revoked only till the offer is not accepted and once the offer is accepted, it can't be revoked or withdrawn.

Example: X offers Y to buy his horse for 1 lakh rupees and Y agrees to the offer and gives his consent to sell his horse to X at 1 lakh rupees. This becomes an acceptance.

### **Feature of acceptance:**

1. Offer must be accepted without any condition. The offer must agree to all the terms of the contract. The offer must be accepted without any condition or without any alterations.
2. Offer must be accepted by the one to whom the offer has been made. If someone else accepts the offer then it is invalid.
3. The offer must be known to the offeree. Without conscious knowledge about the offer, the offeree cannot give acceptance.
4. Acceptance can either be expressed or implied. In express acceptance, the communication is made through words, either written or spoken. In implied acceptance, merely by the conduct or action acceptance can be shown.

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<sup>35</sup> AIR 1992 SC 131

5. Silence will not be presumed as an acceptance. If the offeree is silent about an offer that does not mean he has accepted the offer.
6. There must be an intention to enter into the contract. Without an intention, there is no valid contract.
7. Communication of acceptance is important. The offeror must be communicated that his offer has been accepted by the offeree.
8. The offeror must receive the acceptance in an agreed-upon manner otherwise the offeror has an option to withdraw or reject his offer.
9. If the mode of acceptance is already mentioned then the offeree must communicate his acceptance in the mode prescribed otherwise in a reasonable and usual manner the communication must be made.
10. The offer must be accepted in the prescribed time limit if given. If the time limit is not mentioned then the offeree shall communicate his acceptance within a reasonable time.

**Felthouse v. Bindley, 1862:**<sup>36</sup>

In this case, Felthouse, who is the complainant, had a discussion with his nephew regarding buying his horse. Later, he sent a letter to his nephew stating that if Mr. Bindley does not respond to the letter anymore then he will presume that he has accepted the offer and the horse will belong to Felthouse. Mr. Bindley did not respond to the letter because he was busy. Later Mr. Bindley sold his horse to someone else and Felthouse felt aggrieved and filed a suit in the tort of conversion against Mr. Bindley. The Court held that there was no contract between Felthouse and Mr. Bindley as silence cannot be a mode of acceptance. The Court held that the offer to be accepted must be clearly communicated and since in this case, Mr. Bindley did not respond to the letter therefore his silence cannot be presumed as acceptance. Therefore, there was no contract between Felthouse and Mr. Bindley.

**Revocation of acceptance –**

As per *Section 5 of the Indian Contract Act 1872*, acceptance can be revoked before the letter of acceptance has been communicated and not afterwards. In layman's terms, it is possible to say that the communication of acceptance is finished as opposed to the acceptor when it comes to the knowledge of the offeror. Therefore, the acceptor has the right to revoke his

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<sup>36</sup> (1862) 142 ER 1037

acceptance any time before the offeror receives his acceptance letter. Once the letter of acceptance is received by the offeror, the acceptance cannot be revoked.

Under English law, acceptance is irrevocable as when there is *consensus ad idem* then there is no question of revoking after sometime or changing of mind. English law does not give the acceptor the option of revocation of his acceptance.

But Indian Law is contrary to the English Law and lets the acceptor revoke his acceptance any time before the communication of acceptance reaches the offeror. Thus, when the acceptor changes his mind after the communication of acceptance to the offeror, the acceptor is at his choice to revoke his acceptance. But it is necessary that the knowledge of revocation of acceptance is posted before the offeror gets to know about the acceptance from the acceptor. For instance, if the acceptor communicates his acceptance through post but changes his mind and the acceptor decides to revoke his acceptance and he communicates his revocation through telephonic conversation. Thus, his revocation of acceptance is communicated before the communication of acceptance and hence, it is a valid revocation. Thus, let it be the communication of acceptance of the offer or the revocation of such acceptance is complete only when the other person who is bound to get to know such communication has the knowledge of the same.

### **Modes of revocation:**

The modes of revocation of acceptance are as same as that of revocation of offer. According to *Section 6* of the Indian Contract Act, 1872. The *Section 6* deals with the Revocation of proposal.

### **Revocation how made:**

- 1) By the communication of notice of revocation by the proposer to the party;
- 2) By the lapse of the time prescribed in such prescribed in such proposal for its acceptance, or, if no time is so prescribed, by the lapse of a reasonable time, without communication of the acceptance
- 3) By the failure of the acceptor to fulfill a condition precedent to acceptance; or
- 4) By the death or insanity of the proposer, if the fact of his death or insanity comes to the knowledge of the acceptor before acceptance.

Hence, the acceptance can be revoked in the following ways:

1. **By notice of revocation:** Revocation of acceptance can be informed to the offeror through notice. But the notice of revocation of acceptance must be made before acceptance of the offer reaches the offeror.
2. **By lapse of the time prescribed:** The offeror during the proposal must have set a time limit of the acceptance of the offer and if not so then the acceptor must send his reply for such proposal within reasonable time. And if the acceptor fails to do so then the acceptance is by default revoked and the offeror is free to make any other proposal to any other person. In *Barrick v. Clark* where the case was that Party B proposed to get the land from Party A. Party A sent a counteroffer by asking Party B reply as soon as possible. Party B took time to reply and which was out of reasonable time. So, Party A sold their land to Party C. The Court held that A is not legally bound to wait for Party B to reply as there was a lapse of time which led to the revocation of offer. *In Hindustan Aluminum Corporation v. U.P. State Electricity Board*,<sup>37</sup> where the court held that an offer is revoked due to lapse of time there it is at the option of the offeror to keep it alive even after the lapse.
3. **By non-fulfillment of conditions prescribed by the proposer:** If the offeror during the proposal itself states any condition which will mark the acceptance of the offer by the acceptor, then it must be fulfilled by the acceptor. If the acceptor doesn't fulfill such a condition, then that marks the revocation of the acceptance. For instance, Party A proposing Party B to sell his land asks Party B to give his assent through written with his signature. But Party B instead of following such conditions directly calls Party A and gives his assent. Here, in this case, Party B has not followed the condition and thus, the acceptance lapses by the non-fulfillment of conditions thereby prescribed.
4. **Death or Insanity of the proposer:** According to the English Law, the death of the offeror marks the end of the acceptance even though the acceptor is not aware of the death of the offeror. In *Dickinson v. Dodds*<sup>38</sup> where Mellish, L.J., held that if the man who makes an offer die, then it cannot be accepted after such man's death. But according to Indian Law, which is contrary to the English Law states that the acceptance lapses only when the acceptor gets to know about the death of the offeror. If the acceptor is unaware of the fact about the offeror's death and sends his acceptance to the offeror then such

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<sup>37</sup> AIR 1973 All. 263

<sup>38</sup> 1876 (2) Ch.D. 463 at 475

acceptance is valid. But if the acceptor is aware about the death of the offeror and sends his acceptance then such acceptance is revoked and such acceptance is no acceptance.

If the offeror after making the offer becomes insane. According to English Law, in such conditions the acceptance to such an offer will give rise to voidable contract only i.e., the contract can be declared void by the court at the option of the parties to such contract. But Indian Law differs in these terms and declares such a contract as void contract i.e., no contract at all.

A contract is initially a proposal made by one party to another party, say Party X and Party Y respectively. When Party Y assents to the proposal made, then the proposal is accepted. Then both the parties will have an act to do or an abstain to do something which is known as consideration for the promise. After the performance of consideration, the parties are said to have formed an agreement. And once such an agreement is enforceable by law then that constitutes a contract. And an offer or an acceptance can be revoked with several modes under *Section 6* of the Indian Contract Act, 1872. And also, the law of contracts in respect to revocation of offer or acceptance is different under English Law and Indian Law.

## **8. What is voidable agreement? What is effect of a voidable agreement? What is void agreement? Discuss the differences between void and voidable agreement including their effects.**

### **Voidable Agreement –**

A Voidable contract is a contract or an agreement that is breakable at the will of any one of the parties. As per section 2 *sub-clause (i)* of *Indian Contract Act 1872*, a Voidable Contract is an agreement that can be enforced by the law by one party but not at the other party's option.

Simply because a contract exists, it is not confirmed that the contract is enforceable and should be followed. In case, there are some inconsistencies with the contract, for example, if one of the parties is a minor, or if there was some kind of coercion or influence used to get the consent of a party, then the contract will be voidable at the will of the affected parties.

One simple voidable contract example is a contract with a minor. If one of the parties is a minor, that is, below the age of 18 years, the contract with that minor will be voidable at the

will of either the minor or his/ her guardian or parents. But if the minor reaches the age of 18 years which is the age of maturity, and the contract has not been revoked until then, the contract hence becomes legally binding.

Voidable contract is one that can be cancelled or changed under certain legal circumstances. Not all contracts are voidable and therefore, in order to discharge an obligation, a legal precedent must exist. A frequent technique to terminate a contract is to discover a flaw in it. The most straightforward approach to void a contract is when both parties agree to that voiding and are generally the best course of action that can be taken. A voidable contract can also be referred to as a formal agreement between two parties that can be declared void for a variety of legal grounds, including:

1. Failure by one or both parties to disclose a material fact.
2. A mistake, misrepresentation, or fraud.
3. Undue influence or duress.
4. One party's legal incapacity to enter a contract (e.g., a minor).
5. One or more terms that are unconscionable.

The term 'voidable' signifies '*capable of being voided*'. A voidable contract is initially thought to be valid and enforceable, but it can be rejected by one party if faults are detected. The contract remains valid and enforceable if a party with the authority to reject it chooses not to reject it despite the flaw. Most of the time, committing to a voidable contract hurts only one of the parties because that party fails to identify the other party's deception or fraud.

In the case of ***Bawlf Grain Co. vs. Ross***<sup>39</sup>, an intoxicated wheat producer engaged into a contract but failed to fulfil his responsibilities as the price of wheat increased. It was a landmark decision that stated that any contract entered into while a party is intoxicated is voidable at the aggrieved party's discretion.

In general, we have a voidable contract when one of the contracting parties would not have signed the contract if it was not for the other party's (other party to the contract) activities or omissions, such as fraud or misrepresentation. The parties initially regard the contract as legitimate and enforceable. However, the aggrieved party discovers grounds to nullify the contract and considers themselves not to be bound by its provisions as a result of the

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<sup>39</sup> 55 S.C.R.232, (1917)

discovery of facts or information. When we have grounds for a voidable contract, it is one of the contracting parties who have grounds to void the contract because of the other's acts. Rarely may both parties to a contract have valid reasons to declare the contract void. When confronted with a voidable contract, at his or her option, the aggrieved party can either accept or reject the contract.

### **Accepting a voidable contract:**

Even if a contracting party discovers faults that provide him or her grounds to cancel the contract after signing it, he or she may choose to accept the contract's terms anyhow. A voidable contract is ratified and legally enforceable at this point.

### **Repudiating a voidable contract:**

A party who signs a contract with voidable grounds has the right to repudiate it. In other words, if voidable reasons are noticed, the party might reject the contract and argue that it is not bound by the contract's terms. If one party claims they are not obligated by the conditions mentioned in the contract and the other party claims otherwise, renouncing a contract may result in a contractual dispute between the contracting parties. If the parties are unable to agree to accept the contract, amend its conditions, or cancel it peacefully, they may find themselves in court. If a party believes the contract is voidable or that the other party has legal grounds to void the contract, the party might initiate a suit of breach of contract against the other.

### **Voidable contracts based on formation defects:**

A contract may be voidable if it does not follow the statutory standards for its creation. Essentially, for a contract to be legally binding you need:

1. Offer.
2. Acceptance.
3. Consideration.
4. Object.
5. Legal capacity.

The contract will be voidable if any of these formation features are defective. If you engage in a contract with someone who is mentally ill, for example, you will be violating the legal

capability criterion. A contract entered into with someone who lacked legal ability will not be considered valid and legally binding. As a result, the contract is voidable due to flaws in its creation.

### **Voidable contracts based on vitiated consent:**

A contract can also be voidable if a contractual party's permission has been revoked. Consent to be vitiated indicates that a contractual party induced a party to sign a contract despite the fact that that party would not have signed if complete and truthful information had been communicated prior to the completion of the transaction.

For example, where the property seller is aware that his house's foundation is not up to the mark and is potentially dangerous, but he fails to reveal this information to a possible buyer. The buyer agrees to purchase the property for a reasonable price but is unaware of the serious foundational flaw. The buyer would not have purchased the home if he had known about the existing flaw. This is a case where the buyer's consent was void due to the seller's deception.

### **Voidable contracts under the Indian Contract Act, 1872:**

Section 2(i) of the Indian Contract Act, 1872 defines voidable agreements as those which are valid as long as one of the parties or both parties can decide to void their agreement. Most cases involving a voidable contract involve a circumstance in which one of the parties did not give their consent. As a result, if the party accepts the contract's terms, it stays valid; if they don't, the contract between them is nullified. Coercion, deception, undue influence, and other elements play a vital role in determining whether a contract is voidable at the decision of either party.

For example, A threatens B with a gun and demands that she must sell her house to him for a pittance, and B agrees, terrified for her life. B was pressured into agreeing by A in this case, hence her permission was not freely given. As a result, she has the option of terminating the contract on this ground.

#### **1. Lack of free consent (Sections 19 and 19-A):**

These provisions state that any contract in which a party's consent is not freely given is voidable at that party's discretion. Consent gained through coercion, deceit, or undue influence in such situations, is illegal under the law.

#### **2. Prevention of performance by the other party (Section 53):**

When one party prohibits the other from completing his or her responsibilities under a contract based on a reciprocal promise, the contract becomes voidable at the choice of the party who was prevented from performing on their promise.

### 3. Failure to perform in fixed time (*Section 55*):

There are some contracts in which time is the essence, and they must be completed within that time frame. When a contract is not completed on time, the aggrieved party has the option to invalidate the contract.

### 4. Consequences of rescission (*Section 64*):

When a person, at whose discretion the contract is voidable, rescinds it, the other party is relieved of all contractual obligations. At the same time, the individual who has cancelled the contract is responsible for any advantages obtained.

In *Mohd. Hussain vs. Fida Hussain and Anr*<sup>40</sup> (1951), the Punjab & Haryana High Court had observed that in plain English, Sections 19 and 19A of the Indian Contract Act, 1872 state that where a party's consent is obtained through coercion, fraud, or undue influence, the agreement is voidable at the discretion of the party whose consent was obtained in such a manner. In other words, *Sections 19 and 19A* declare that a contract entered under duress, fraud, or undue influence is voidable at the aggrieved party's discretion. A party to a contract whose consent was obtained through deception may, if he/she so desires, insist on the contract's performance and that he/she be placed in the position he/she would have been in if the representation made had been accurate.

The term '*mutuality of contract*' is described as in the [\*Concise Law Dictionary\*](#) as "*the doctrine of mutuality indicates that the contract must be jointly enforceable by each party against the other.*" A voidable contract is an exemption to the mutuality requirement. A voidable contract is defined in *Section 2(i)* as an agreement that is enforceable by law at the discretion of one or more of the parties, but not at the option of the other or others. Contracts voidable at the outset under:

1. *Sections 19* (voidability of agreements without free consent) and *19-A* (power to set aside contract induced by undue influence),

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<sup>40</sup> AIR 1951 P and H224, AIR 1952, PUNJAB 224.

2. Voidable by subsequent default of one party under *Sections 39* (refusal of a party to perform promise wholly),
3. *Section 53* (impossibility created by an act of the party), and
4. *Section 55* (failure to perform at time fixed, time being of essence).

## **Void Agreement**

*Section 2(g)* of the *Indian Contract Act, 1872* defines void agreements. Further, *Sections 24 to 30 and 56* of the Act specify the particular kinds of agreements/contracts which are void. Since a void agreement is meaningless in the eyes of law, it does not cause any change in the position or relationship of the contracts.

### **Situations when agreements are void:**

- **Uncertainty:**

This is one of the most common causes for a contract to be void. Uncertainty mostly occurs due to the language used by the individual who drafted the contract. This can happen when clauses such as 'agreement to agree' are present or when the parties decide to make certain arrangements at a later date. If the contract terms are too imprecise to be enforceable, the contract may be void. For example, you make a contract with a gardener who agrees to plant "some trees" in your yard by a specific date. The term "some" can mean different things to you and the gardener about the number of trees to be planted, making the contract difficult to enforce.

- **Mistake or Misunderstanding:**

In this case, a common or mutual mistake or misunderstanding is made by both parties regarding an essential fact or subject matter of the contract. This is usually an innocent reason but can make a contract null. Incorrect and hidden information is the most common reason for such void contracts.

- **Lack of assent:**

Contracts must have a genuine agreement. If a contract is formed under duress or threats, undue influence, or fraud, it's generally void.

- **Lacking Capacity:**

If a party to the contract cannot understand the contract, such as a minor or person under the influence of alcohol, the contract may be void.

- **Unlawful Object or consideration:**

If the contract contains an unlawful object, an object forbidden by law, or involves/implies injury to another person or property, such contract will be void. To illustrate, an unlawful object may be a contract between people to do robbery and share money.

This is mentioned in *Section 24* of the Act. The basic essence of this statement is that if the consideration, as a whole or in part is unlawful or if the end product of the agreement is illegal then the agreement is declared void. The contract would, however, be considered valid after deleting the unlawful clauses.

For example, if there is an agreement between A and B for the exchange of drugs and medicinal herbs for ₹5000, then the agreement stands void even though the consideration of the agreement is legal. This is because the object of the agreement is illegal. But in this case, if we remove the drugs from the object then the agreement would be termed valid.

Moreover, if transaction which arises out of an unlawful act is such that if they are separated from the illegal part, then they would count as a valid agreement, then those transactions hold value in the eyes of law irrespective of the illegality of the agreement.

- **Agreements without consideration:**

*Section 2(d) of the Indian Contract Act, 1872*, states, consideration may be furnished by ‘the promisee or any other person’ as long as it is ‘at the desire of the promisor’. In the case of *Currie v. Misa*<sup>41</sup>, the court defined valuable consideration as “in the sense of the law may consist either in some right, interest, forbearance, detriment, loss or responsibility given, suffered or undertaken by the other”.

- **Restraining Marriage or Trade:**

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<sup>41</sup> (1875) LR 10 Ex 153; (1875-76) LR 1 App Cas 554.

A contract restricting the marriage of one person with another person or restraining a person from carrying a trade, business or profession is a void contract.

- **Impossible Act:**

A contract which provides to do an impossible act is void. It will also be void when it becomes impossible to do an act stated in the contract due to the occurrence of an event beyond the control of the party. To illustrate, a painter enters into a contract to give paintings to a person for a certain amount. But, if the painter dies before completing the painting, the contract will be void.

**Void Agreement Example:**

As you know by now, there are multiple scenarios and reasons, legal and non-legal, that can result in an agreement or contract being void. Here are some examples to clarify the concept:

- **Example 1:** Suppose, you are going to release your album, and you agreed on a 50-50 profit split with your producer. While signing the contract, you had been drinking at the bar. Considering the circumstances, the contract will be void or null as you were under the influence of alcohol while signing the contract.
- **Example 2:** Another example of a void contract would be if it involves illegal substances. Suppose Party A and Party B are entering into a dealership agreement that involves drugs or narcotic substances. This contract will be null or void as it involves illegal substances; therefore, there will be no legal enforcement.
- **Example 3:** Suppose you are signing an agreement to sell your car to an individual. You have set a selling price, but the purchasing party wants to bargain. Now, if the buyer threatens to harm you if you do not sell your car at his price, the agreement will be void as there is involvement of force.

**Differences between void and voidable agreement**

- **Meaning**

- A Void Agreement is a kind of agreement that is not enforceable by law. At the time of agreement formation, the agreement is valid as it fulfils all the requisite conditions necessary to constitute a valid agreement.
- Voidable Agreement is the agreement which can be enforceable only at the option of one of the two parties to a contract.

- **Void ab initio**
  - Void agreements are void from the very beginning.
  - Voidable agreements are valid when made and continues to remain valid till the time it is repudiated by the party which is aggrieved.
- **Validity**
  - The agreement is void since essential elements of a valid contract is missing.
  - Since the consent of the party is not free, the agreement becomes voidable.
- **Enforceability**
  - Void agreements cannot be enforced by any of the party.
  - Till the time aggrieved party does not repudiate the agreement, it continues to be enforceable.
- **Rights of third party**
  - Third party does not acquire any kind of rights.
  - A third party who in good faith purchases goods and for consideration before the agreement is repudiated acquires title of those goods.
- **Effects of lapse of reasonable time**
  - It can never become a valid agreement, even on the expiry of a reasonable time.
  - On the expiry of reasonable time, it may become a valid agreement if the aggrieved party does not repudiate the agreement within reasonable time.
- **Damage**
  - The question of damage does not arise in Void agreement.
  - The aggrieved party can claim damages.

To conclude, both void agreement and voidable contract or agreement have certain connotations and legal consequences. A void agreement is a dead agreement since it lacks any kind of legal enforceability, whereas a voidable contract or agreement may be legally enforceable. Some kinds of agreements are declared void by law because they are unlawful and opposed to public policy, and also to protect the life and liberty of individual persons.

## 9. SHORT NOTES

### a. Agreement by minor

According to *section 3* of the Indian Majority Act, 1875, every person domiciled in India shall attain majority (i) in general cases, when he has completed the age of 18 years and not before; or (ii) in two special cases, where a guardian of minors person and property has been appointed by the court under the Guardian and Wards Act, 1890, or where a minor is under the Guardianship of court of wards (before the age of 18 years), a minor shall attain majority when he has completed the age of 21 years and not before.

*Section 10* Indian Contract Act, 1872 (hereafter, "ICA") says agreements are contracts when it is entered by the free consent of the competent parties in which consideration is lawful with a lawful object. *Section 11* of ICA says minors are not competent to contract. If we read *section 10* along with *section 11* we come to know that minors are not competent to enter into a contract, the reason being minors are not competent to make a rational decision for themselves, their decisions can be manipulated and to protect them from being exploited the law assumes minors does not have the understanding capacity, but both the sections do not clarify whether an agreement with minor is voidable at the option of the minor or is altogether void. This was cleared in the landmark case of *Mohori Bibee vs Dharmodas Ghose*.<sup>42</sup>

#### *Mohri Bibi v. Dharmodas Ghose*

The case of *Mohri Bibi v. Dharmodas Ghose*, decided in 1903, revolves around a mortgage agreement between a minor and a moneylender. The plaintiff, A, mortgaged his property to the defendant, B, to secure a loan of Rs. 20,000 while he was still a minor. It was later revealed that the actual amount of the loan given was less than Rs. 20,000. The attorney who acted on behalf of the moneylender was aware that the plaintiff was a minor at the time of the transaction.

The plaintiff filed a case against the defendant, stating that the mortgage was void and inoperative since he was a minor when he executed it. The plaintiff requested that the mortgage be cancelled. However, during the appeal to the Privy Council, the defendant passed away and the appeal was pursued by his executors. Among other defences, the

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<sup>42</sup> [1903] UKPC 12

defendant argued that the plaintiff had fraudulently misrepresented his age and therefore, no relief should be granted to him.

The court ruled that an agreement cannot be considered a contract unless the parties have the legal capacity to enter into a contract under Section 10 of the Indian Contract Act. As per the Act, parties who are competent to enter into a contract must be of legal age and of sound mind

### **Legal Position of a Minor in Indian Law:**

Indian Contract Act protects minors and provides a number of privileges to them. Law protects these persons and preserves their rights and estates, excuse their negligence, and assist them in pleadings. Thus, in minor's case, the law behaves like his guardian. The provisions of law governing agreements with a minor in India may be dealt with as follows:

#### **1. *An agreement with or by a Minor is void ab initio (from the very beginning):***

An agreement with a minor is void since very beginning. It is altogether void against the minor. Therefore, a minor is not liable either to perform what he has promised to do under the contract nor to repay the money that he has received under it.

#### **2. *No estoppel against a minor:***

The principle of estoppel doesn't apply to minors. As per this principle, when one person intentionally causes or permits another person to believe a thing to be true and to act upon such belief, neither he nor his representatives can deny the truth of that thing in any suit or proceeding between himself and such person or representative.

However, the question arises as to whether the law of estoppel can be invoked against minors. In the case of **Jagar Nath Singh v. Lalta Prasad**,<sup>43</sup> the court held that the law of estoppel cannot be used to validate a void agreement.

The Madras High Court, in **Vaikuntarama Pillai v. Authimoolam Chettiar**,<sup>44</sup> reaffirmed that the principle of estoppel cannot override the provision that minors are incapable of contracting and therefore not responsible for any liabilities.

#### **3. *No Liability in Contract or in Tort arising out of Contract:***

The minor will not be liable for a tort arising out of contract, for the reason that such liability is an indirect way of enforcing his agreement. But where the tort is independent of the contract the mere fact that a contract is also involved, will not absolve the minor

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<sup>43</sup> 1IND. CAS.562

<sup>44</sup> AIR 1914 MADRAS 641(2)

from liability. Thus, where an infant borrowed a mare for riding only, he was held liable when he lent her to one of his friends who jumped and killed her.<sup>45</sup> Here the defendant was liable on the ground that the act resulting in injury to the mare was quite outside the contract. In *Jennings v Rundall*,<sup>46</sup> on the other hand, where an infant had hired a horse to be ridden for a short journey and took it on a much longer journey, with the result that it was injured, the Court held him not liable on the ground that the action was founded in contract.

#### 4. Ratification by Minor

As per Black's Law Dictionary, ratification means:

“the confirmation of a previous act done either by the party himself or by another; confirmation of a voidable act”. A minor's agreement is impotent of becoming a validation through a future ratification when he achieved majority. This is because whenever, the minor turned major will ratify, there is always a question whether the concerned authority have conferred the ratifier at the dates when acts were performed. Thus, minors are not allowed to perform ratification.

#### *Nazir Ahmad vs Jiwan Das*<sup>47</sup>

A lawsuit was instituted on Nazir Ahmed by Jiwan Das and his brother for a recovery of Rs 340 on the footing of an instalment bond said to have been executed by plaintiff in defendant's favour in the year 1934. During the trial it was discovered that a similar suit was executed in lieu of another bond which had been jointly executed in the year 1931. This was instituted by Nazir Ahmed and Ilam Din. Ilam Din was step father of Nazir Ahmed. This bond was also executed in lieu of a previous bond in the year 1930. Counsel for the petitioner relies on 16 Lah 546, which stated that the parties which are interested in drawing a contract but are incapable because of minority, can draw a fresh contract on achieving the age of majority. This new contract will need fresh considerations. Thus, the consideration which passed under the earlier contract cannot be imported into the contract into which the minor entered on attaining majority. This contract can also not be used as a reference for new contract after attaining the age of majority. This contract will then only be enforceable in the court of law. The trial court declared the original executed bond as void. Judges also remarked that section 25(2) of the Indian Contract Act, which stated that, “it is a promise to compensate, wholly or

<sup>45</sup> Barnard v Haggis (1863) 4 C BN S 45

<sup>46</sup> 1799) 8 TR 335

<sup>47</sup> 1936)38BOMLR987

in part, a person who has already voluntarily done something for the promisor, or something which the promisor was legally compellable to do; or unless;”, was not applicable here.

## 5. Doctrine of Restitution

The act of restoring something is restitution. Section 65 of the Indian Contract Act states: “When an agreement is discovered to be void, or when a contract becomes void, any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it to the person from whom he received it.” This section has some exceptions which make minors incapable of applying doctrine of restitution. An Obiter dictum was done in case of *MohiriBibi v Dharmadas Gosh* under Section 65 of Indian Contract Act of 1872. In case, a contract is void ab initio then there is no provision of doctrine of restitution.

The exceptions of doctrine of restitution covers contract between two incompetent persons. Surprisingly, minors are eligible for claiming restitution. Both restitution and compensation have one thing in common i.e. 'recompense'. However, restitution clearly means compensation to restore something which is lost. Compensation, on the other hand, is just substituting something which has same monetary value as that of the previous one.

**Liability for necessities-** According to section 68 of Indian contract act, 1872, a minor is not personally liable, it is his property only which is liable. If he has no property, the supplier will get nothing for necessities supplied. If he has property, supplier will get reasonable price only. The word necessities include articles required to maintain a particular person in the state, degree and station in life in which he is. In India, food, clothing, shelter and education have been held to be necessities.

### **b. Doctrine of frustration**

In the **Indian Contract Act, 1872 (ICA)**, the doctrine of frustration is covered under *Section 56*. This section deals with the doctrine of frustration, which essentially states that a contract becomes void when something occurs after the formation of the contract which renders it impossible to fulfill the contract, or which makes the performance of the contract illegal, or which transforms the contract into something radically different from what was originally contemplated by the parties. This section is important in understanding the legal consequences when unforeseen events make it impossible to fulfill contractual obligations. The concept of *force majeure*, though not explicitly defined in the ICA, closely intertwines with the doctrine of frustration.

**To establish the Doctrine of Frustration in Indian contract Act, certain conditions must be met in a contract:**

- **Existence of a valid contract:** The contract must be legally valid and binding.
- **The contract is unperformed:** The contract's performance must be pending.
- **Performance has become impossible:** Unforeseen events must render the contract impossible to perform.
- **The impossibility results from uncontrollable events:** The impossibility must arise from events beyond the parties' control.

The doctrine of frustration encapsulates several crucial elements that dictate its applicability and consequences within the realm of contract law:

- **Unforeseen Events:**

Frustration arises when an unforeseen event occurs, making it objectively **impossible to fulfill contractual obligations**. These events often lie beyond the contemplation of the parties during contract formation.

- **Radical Change in Circumstances:**

The event must result in a radical change in circumstances, rendering performance fundamentally different from what the parties **initially intended**.

- **No Fault of Either Party:**

Frustration does not arise from the fault or negligence of either party. Instead, it emerges due to external, **unforeseeable events** that disrupt the contract's fulfillment.

- **Impossibility of Performance:**

The event must render performance impossible, illegal, or significantly different from what was originally agreed upon.

Force majeure clauses, often included in contracts, enumerate specific events such as **natural disasters**, war, or government actions that excuse non-performance under certain circumstances. While force majeure clauses typically require events to be foreseeable and explicitly listed, the doctrine of frustration encompasses unforeseeable events not covered by

such clauses. Indian courts have recognized force majeure as a potential ground for frustration, especially when contractual terms do not explicitly address unforeseen events.

***Satyabrata Ghose v. Mugneeram Bangur & Co. (1954):***<sup>48</sup> This seminal case established the principle that for frustration to occur, the event must fundamentally alter the contract's nature, rendering it impossible to perform. The court emphasized that mere inconvenience or financial loss does not constitute frustration.

***Taylor v. Caldwell (1863):***<sup>49</sup> Though a British case, its principles have significantly influenced Indian contract law. In this case, the court held that contracts may be frustrated when the subject matter, essential for performance, is destroyed or becomes unavailable due to unforeseen events.

***Murlidhar Chiranjilal v. Harishchandra Dwarkadas & Ors. (1962):***<sup>50</sup> In this case, the Supreme Court of India reiterated that frustration requires a fundamental change in circumstances, making performance impossible. The court held that when government requisitions property under wartime regulations, rendering a contract for its sale impossible to perform, frustration applies.

### **c. Mistake of law**

Mistake means wrong belief which is innocent, and leads one party to rise misunderstanding against other. Mistake happened when the terms and conditions of the agreement is not clear between the parties. When one said something and white was not clear in the mind of other. The both parties understand consequences on the different terms and there was no consensus-ad-idem i.e. meeting of mind, and thus not understanding same thing in same sense.

Mistake has been further classified into two cases under Indian Contract Act, 1872.

- I. Mistake of Fact
- II. Mistake of law.

### **Mistake of Law under Indian Contract Act**

Ignorance of law is not excusable under India Contract act. It can better be explained with the help of Latin Maxim *Ignorantia juris non excusat*, this means any party Under contract can't

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<sup>48</sup> AIR 1954 SUPREME COURT 44

<sup>49</sup> [1863] 3 B&S 826

<sup>50</sup> AIR 1962 SUPREME COURT 366

take defense that they do not know any law enforced India at that time, everyone is deemed to know the law enforce, this is covered under section 21 of contract Act, and such Contracts are not voidable on mere grounds of being unaware of laws.

For example: If any person travels in a train without tickets and on being caught by the conductor, he takes defense of not being aware of the law. The man under contract law can't take this ignorance of law as a defense and the person will be punished under sec 138 of *The Indian Railways Act, 1989*.

### **Exceptions:**

- **Mistake regarding foreign law.**

Under section 21 of Contract Act, Mistake regarding foreign law is considered as an excuse. Because no party is supposed to know the provision and law enforced in foreign country. Hence it will be treated as an exception of this law.

**For example:** An Indian company was supposed to sell 200 cans of concentrated sulphuric acid containing 45% of solution to American company. Although more than 30% of solution was banned in America unknowingly to this fact the Indian company took defense of Mistake of law. It was acceptable as a defense because no one is supposed to know the laws of foreign.

- **Mistake regarding private right.**

The existence of any private right is a matter of fact although depending on the rules of law because it is not ok for a party to fully know the private rights of another party.

In *Cooper v Phibbs*,<sup>51</sup> the offended party took a rent of fishery directly from the litigant unconscious of the way that he previously had an actual existence enthusiasm for the fishery right. The offended party, thusly, brought a suit for the dropping of the rent and the respondent contended this was an error of law. It was held that a mix-up concerning the general proprietorship or right stands on a similar balance as a slip-up of law and consequently was announced void.

- **Mistake of fact**

Ignorance of Fact is excusable under law of Contract. *Ignorantia Facit Excusat* that implies ignorance of Fact is excused. Under Section 20 of Indian contract this term is explained, contract is said to be void of both the parties are under mistake of Fact.

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<sup>51</sup> (1867) LR 2 HL 149

Further it has classified as: -

### **A. Bilateral Mistake – Section 20**

Following conditions need to be fulfilled to apply this:

- a. Mistake must be mutual that is committed by both the parties
- b. It should be related to certain fact.
- c. Facts should be necessary to contract.

Since there is no consensus-ad-idem hence contract would be void.

### **Different kinds of bilateral mistakes**

- 1) **Regarding Subject Matter:** It happens many a time that subject on which the contract is based ceases to exist and the parties to contract are not aware of this fact. If the subject matter to contract does not persist then it means that contract has perished and is termed to be void.

In the case of *Galloway Vs. Galloway*<sup>52</sup> the couple demanded separation after marriage but it was held that the agreement of separation is void because it was mere assumption that they were married to each other.

- 2) **Regarding Subject matter's quality:** If the misconception is not regarding the matter but its quality then the contract is said to be valid.

In the case of *Smith Vs. Hughes*,<sup>53</sup> one person entered into contract of buying oats, he thought it to be old whereas it was new hence contract can't be said to be void on the mere basis of quality.

- 3) **Regarding the quality of subject matter:** If there is mutual mistake of regarding the quantity of the subject, then the contract is said to be void.
- 4) **Regarding the title of the subject matter:** If one person wants to buy something of which he already is owner, but both the parties are under mutual mistake of fact. Then in this case seller does not have any right to sell and contract in itself stands void

Example: *Cooper V Phibbs* case.

### **B. Unilateral mistake under Indian Contract Act**

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<sup>52</sup> 281 N.W.2d 804 (N.D. 1979)

<sup>53</sup> (1871) LR 6 QB 597

When only one party is under mistake regarding subject matter to contract. This part is elaborately discussed under Section 21 of the Contract Act. However, a unilateral mistake does not affect the validity of the contract and is not mere ground to set contract aside.

### **Exception to Unilateral Mistakes**

This type of contract can be termed void only if it is proved that contract is caused by misrepresentations or fraud by one party.

#### **1) Mistake to one party as to nature of contract.**

When one party makes any mistake regarding the nature of contract and it is known by the other it is said to be void. This happens when while entering into the contract the party is misrepresented or fraudulently pushed into contract or at the time of understanding its measures the person was unable to understand due to age factor or illness. In the case of *Dulari Devi V. Janardhan*<sup>54</sup> an illiterate woman was made to put her thumb impression on two papers believing them to be some gift deeds to her daughter, whereas in actual the papers were regarding transfer of whole property on someone else's name without her consent. Although here also the mistake was unilateral but as the contract initiated with element of fraud it was held to be void by the court.

#### **2) Mistake regarding identities of the parties to the agreement.**

Usually, the identity of the parties is not relevant to contract but in certain cases where one party hides his real identity and shows to be someone else by misrepresentation or fraud, who he actually is not. Then such contracts are void.

In the case of *Cundy V Lindsay*,<sup>55</sup> Lindsay and Co. was a reputed company selling handkerchief in the market. One person named Blenkarn misrepresented and signed on the name of very famous company named "Blenkiron & Co." ordered 123 pieces of handkerchief. Lindsay assuming it to be same delivered it to Blenkarn, who further sold it to innocent Cundy. On not getting a payment by "Blenkiron & Co." Lindon sued him. And it was held by the court that there was mistaken assumption, hence no real consent to the contract of sale.

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<sup>54</sup> AIR 1990 SUPREME COURT 1173

<sup>55</sup> (1878) 3 App Cas 458 HL

#### d. Agreement in restraint of marriage

**Section 26** of the Indian Contract Act of 1872 states that every agreement in restraint of marriage, except those in restraint of marriage of minors, is void.

The Contract Act was the first law to be placed in India which expressly made any such agreement, which in its effect would result in restraining the liberty of either of the parties to marry as per their wish, void. The fundamental idea behind this provision was to ensure that the citizens did not lose their right to marry as per their choice, which is an essential part of a civil society having both personal and social significance, due to some contractual obligation entered into at any point of time.

An agreement in restraint of marriage is different from both a marriage brokerage agreement as well as from a contract of betrothal.

Further, unlike *Section 28* which makes agreements only in complete restraint of legal proceedings void, the choice of words of *Section 26* keeps its scope rather general without forwarding a difference between partial or complete restraint of marriage and has been interpreted to hold an agreement serving to either result as void.

One may be absolutely restrained from marrying at all or from marrying for a fixed period or partially restrained from marrying a particular person, or a class of persons, in any of the above events, the agreement is void. *Section 26* does not differentiate in between absolute restraint and partial restraint upon the freedom of marriage. This has been strictly followed by the judiciary in various cases.

***Abbas Khan and Another v. Nur Khan***<sup>56</sup>: In this case, a Muslim woman had married a man without the consent of her nearest male relative. It was contended by the kin that being part of the Pathan community of ilaqa Makhad, the bridegroom who married the woman without the consent of her nearest male relative must pay to the man an amount called 'rogha' or bride-price under customary Muhammadan law.

The lower courts had ascertained that such a practice existed and had allowed the plaintiff to seek payment from the groom. However, a division bench of justices at the High Court on the second appeal held that such payment of money for marriage to an adult woman was not enforceable by law as it was immoral and opposed to public policy.

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<sup>56</sup> AIR 1934 ALLAHABAD 300

Further, Scott-Smith, J. added-

“To enforce such a custom would be tantamount to saying that a woman of full age cannot marry a man unless the latter pays a large sum, which it may be impossible for him to do, to her nearest male relative. It would be a custom in restraint of marriage and opposed to the principle of *section 26* of the Contract Act.”

Thus, even though the custom only imposed a partial restraint on marriage subject to payment of a certain amount, it was found in conflict to Section 26 of the Contract Act. The judiciary has since followed this interpretation and thus, any agreement in restraint of marriage, whether absolute or partial, is held void in India. This is in contrast to English Law which allows for agreements in partial restraint of marriage.

#### **e. Fraud**

An agreement to which the consent is caused by fraud is voidable at the option of the party whose consent was so caused. According to *Sec. 17*, "Fraud" means and includes any of the following acts done with "intent to deceive" or to induce a person to enter into a contract-

- (i) ★ the suggestion that a fact is true when it is not true and the person making the suggestion does not believe it to be true,
- (ii) active concealment of a fact by a person who has knowledge or belief of the fact,
- (iii) promise made without any intention of performing it,
- (iv) any other act fitted to deceive, or
- (v) any such act or omission as the law specially declares to be fraudulent (viz. according to Transfer of Property Act, the seller of immovable property must disclose to the buyer any material defect in the property of the seller's title).

Thus, the essentials of fraud are that there should be a "false statement of fact" by a person who himself does not believe the statement to be true (however, a mere expression of opinion do not amount to fraud). Further, there must be a "wrongful intention" i.e. an intention to deceive and induce the other party to enter into the contract. Intentional misrepresentation is of the essence of fraud. Thus, if the person making such representation honestly believes in its truth, he is not guilty of fraud.<sup>57</sup>

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<sup>57</sup> Derry v Peek (1889) 14 App Cas 337

Fraud by a stranger to the contract does not affect contract. However, 'coercion' as well as 'undue influence' by a stranger to a contract affect the contract. While fraud is a civil wrong, 'coercion' is a criminal wrong also.

### **Silence (Mere silence is no fraud)**

Ordinarily, 'passive concealment or mere silence is no fraud, as a contracting party is not obliged to disclose each and every thing to the other party. Merely because a person does not disclose the defects in the goods sold by him, there is no fraud. Thus, a seller who puts forth an unsound horse for sale, but says nothing about its quality, commits no fraud. But silence may become deceptive in certain cases ('constructive fraud'), as discussed below.

The first such case is when the person keeping silence is under "duty to speak", which arises where one contracting party reposes trust and confidence in the other. A contract of insurance is, therefore, called a contract of absolute or utmost good faith, *uberrima fides*. Similarly, a father, selling his horse to his son must tell him if the horse is unsound, as the son is likely to rely upon his father.

Sometimes, silence is itself 'equivalent to speech'. Where, for example, a buyer asks the seller whether the horse is sound, and he remains silent. This is fraud if the horse is unsound.

Sometimes, a statement is true when made but because of "change of circumstances it subsequently becomes false, there is then a duty to disclose the truth. For example, a medical practitioner, who wants to sell his business, states that his average practice is £2000 per annum, but before the transaction is finalized his practice is considerably reduced due to his illness, it is his duty to inform about this fact to the other party (*With v O'Flangan (1936) Ch.575*).

Lastly, a person may keep silent, but if he speaks, a duty arises to disclose the whole truth. 'Half-truths' amount to fraud. It may be noted that when the silence amounts to fraud, but the other party could discover the truth by ordinary diligence, he cannot avoid the contract. This is not so in the other cases of fraud, as "fools have to be protected against knaves".

### **f. Coercion**

An agreement to which the consent is caused by coercion is voidable at the option of the party whose consent was so caused. According to *Sec. 15*, consent is said to be caused by coercion when it is obtained by pressure exerted by either of the following techniques-

- (i) committing or threatening to commit any act forbidden by the Indian Penal Code, or
- (ii) unlawfully detaining or threatening to detain any property. The party exercising coercion also exposes himself to criminal liability.

A clear illustration of coercion would be consent obtained at the point of pistol, or by threatening to cause hurt, or by intimidation. The threat of suicide amounts to coercion within *Section 15*. Where a contract was made to avoid the threatened prosecution, this was held to be no coercion.<sup>58</sup> To threaten a criminal prosecution is not per se an act forbidden by I.P.C. Such an act could be so forbidden if it amounted to a threat to file a false charge. Threat to strike is no coercion, because the strike may be a lawful weapon for collective bargaining. Similarly, when a contract is made under a statutory compulsion, there is no coercion.

### **Duress under English Law**

Under Common law, duress consists in actual violence or threat of violence to a person. It only includes fear of loss to life or bodily harm, and not to his goods, unlike *Sec. 15* of the Indian Contract Act. Further, in England duress should proceed from a party to the contract and also should be directed against the party to the contract himself, or his wife, child, or near relative. In India, coercion may proceed from a person who is not party to the contract, and it may also be directed against a person who, again may be a stranger to the contract. Thus, if P unlawfully detain Q, R's friend, and thereby obtains R's consent to the contract, it would amount to coercion.

### **g. Rescission of contract**

Rescission under *Section 62* of ICA 1872, means cancellation of all or some of the terms of the contract. If all the terms of the contract are cancelled, it is "Total Rescission", which will discharge the entire contract. On the other hand, if only some of the terms of the contract are canceled, it is Partial Rescission. Partial Rescission is the variation in the original contract by deleting some of the terms from it. Rescission may be express or may be inferred from the circumstances or the conduct of the parties to the contract. Rescission of a contract may occur in any of the following 3 manner:

- (i) By mutual agreement between the parties to the contract

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<sup>58</sup> Askari Mirza v Bibi Jai Kishori (1912) 16IC 344

*Illustration:* A agrees to supply certain garments of a particular design to B within a year in the meanwhile, that design goes out of fashion. A and B may rescind the contract.

- (ii) where one party fails to perform his obligation to the contract, the other party may rescind the contract without prejudice (affecting) to his right to claim compensation for such breach of contract from the other party under Section 75 of ICA.
- (iii) where a person at whose option a contract is voidable, rescinds it- under coercion, fraud, misrepresentation-the contract is voidable (at the option of the aggrieved party) under Section 19, and if undue influence then the contract is voidable under Section 19 A.

*Illustration:* A induces B to enter into a contract under undue influence- under Section 16 In the case, the contract is voidable at the option of B. He may rescind the contracts under Section 19 A.

#### **h. General damage and special damage**

The Indian Contract Act, 1872 does not define the term “ damages.” However, commonly, it means an award of money to be paid to a non-defaulting party by a defaulting party as compensation for injury or loss caused as a result of the defaulting party’s breach of the terms and conditions of the contract. In the case of ***Common Cause v. Union of India***,<sup>59</sup> the Apex Court extracted the definition of the term “damages”, as propounded by Mc Gregor at para 127 which is as follows:

*“Damages are the monetary compensation, attainable by success in action, for a wrong which is either a breach of contract or tort, the compensation being in the form of a lump sum which is awarded unconditionally.”*

The Indian Contract Act, 1872 under *section 73* provides compensation for damage or loss caused by the breach of contract. When a contract has been broken, the party that suffers from such violation is entitled to receive compensation for any damage or loss resulting from such infringement. Such compensation shall not be given for any indirect and remote damage or loss sustained as a consequence of the breach.

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<sup>59</sup> 1999 (6) SCC 667

Explanation to *Section 73* provides that in estimating the loss or damage arising from a breach of contract, the means which existed of remedying the inconvenience caused by the non-performance of the contract must be taken into account. The law laid down in *Section 73* is the law that evolved from the case of *Hadley v. Baxendale*<sup>60</sup> (1854).

**As was laid down in the above case there are two types of damages:**

### **General Damages:**

General damages are also called as ordinary damages. When a breach of contract is caused in natural course of event, then it comes under general damages. The aggrieved party can file suit of damage at the place where breach has occurred and claim monetary compensation.

*Illustration:* A enters into contract with B promising that he will sell his Apple of 5kg for Rs.500 next week to B. A fails to do so and B buys 5kg Apples from another person C for Rs.700. Here, B can claim his loss of Rs.200 from A as he spent extra amount on C's apple and incurred loss because A failed to perform his promise.

### **Special Damages:**

Special damages are damages that arise out of certain special circumstances. They don't arise on the breach of terms and conditions of the contract, but on the happening of a special circumstance which leads to loss or damage. Here, the party which breaches the terms of contract that leads to loss under special circumstance is obligated to pay compensation.

*Illustration:* A agreed to deliver a particular machine to B for certain price. B here informed A that his business is stopped for want of that particular machine. Yet, A here fails to deliver it on time because of which B suffers huge loss. Here the contract is on the delivery of machine and the damage caused here is not on the breach of contract. But A is liable to compensate B for his loss under this special circumstance which was caused because of non-delivery of machine on time by A.

One of the landmark cases where *Section 73* came in to play is *Murlidhar Chiranjilal v. Dwarkadas*.<sup>61</sup> In this case, Murlidhar was supposed to supply Dwarkadas with canvas in Calcutta by 5th August 1947. However, the contract became impossible to perform because of which Murlidhar cancelled the contract and Dwarkadas did not agree to the cancellation

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<sup>60</sup> (1854) 9 Exch 341

<sup>61</sup> 1962 SCR (1) 653

and sued Murlidhar. The Supreme Court applied the 2nd condition of *Section 73* and held that there was a breach of contract. However, the party which breached the contract did not know that the canvas meant for sale only in Calcutta and could not have contemplated the same at the time of entering a contract. Hence, no special damages would be provided to Murlidhar and only the damages which would arise at the rate of sale of the canvases in Kanpur were provided.

### **i. Consensus ad idem**

‘*Consensus ad idem*’ is a ‘Latin’ term that means, agreement. This is the first principle that's the foundation of enforceable contracts because for contracts to be enforceable, agreement or a meeting of the minds of all involved parties is required.

It is a common law concept that requires both parties entering into a contract to have a common intention to accept and comply with the terms outlined in the contract.

*Section 2(a)* of the Indian Contracts Act, 1872 (ICA) provides that ‘when one person signifies to another his willingness to do or abstain from doing anything, with a view to obtaining the assent of that other to the act or abstinence, he is said to make a proposal. Hence, an offer is a promise made by a party to do or refrain from doing something in exchange for specific performances from the other party.

Once the other party accepts the offer, an agreement is formed. Although other elements have to be fulfilled before a valid contract can be concluded, the doctrine of consensus ad idem serves as the basis which leverages the existence of a contract.

Example - A agrees to sell his car to B. A owns three cars and wants to sell the Maruti. B thinks he is buying his Honda. Here A and B have not agreed upon the same thing in the same sense. Hence there is no consent and subsequently no contract.

### **Parties Must Agree on the Same Thing in the Same Sense**

According to *Section 13* of the ICA, when two or more persons are said to consent to a common thing when they agree upon the same thing in the same sense. In other words, the meeting of minds takes place when both contracting parties fully understand and freely consent to undertake all contractual obligations upon entering into a contract.

## 10. What is Specific Performance of a Contract? When may the Court grant a decree for Specific Performance? Which contracts are not specifically enforceable?

A contract is an agreement upon consideration to do or not to do a particular thing, if the person on whom this contractual obligation rests, fails to discharge it, other party has a right either to insist on the literal and actual performance of the contract or to obtain compensation for the non-performance of it. When a party complains of the breach of a contract, it may typically seek recourse to two distinct sets of remedies.

Firstly, an aggrieved party may claim damages for, amongst other things, placing itself pecuniarily in the same position as if the alleged breach never took place and the contract subsisted.

Secondly, the aggrieved party may claim specific performance or seek injunctive relief to prevent the breach of the contract.

Specific performance constitutes an equitable remedy granted by a court to uphold the contractual commitments among the parties. Unlike a claim of damages, which involves compensation for not fulfilling the contractual stipulations, specific performance operates as a remedy that enforces the terms agreed between the parties.

The Specific Relief Act, 1963 (SRA) was enacted to provide remedies to persons whose civil or contractual rights have been violated. One such relief provided under the act is regarding *specific performance of contracts*. The specific performance is **an** equitable relief.

The person seeking the remedy must first satisfy the court that a **normal remedy of damages is inadequate**.

- In the words of **Fry**: "The specific performance" of a contract is its actual execution according to its stipulation and terms, and is contrasted with damages or compensation for the non-execution of the contract.
- **Pomeroy** defines. -Specific performance as consists in the contracting party, exact fulfilments of obligation which he has assumed in his doing or omitting the very act which he has undertaken to do or omit.

In case of breach of contract, the general remedy available to the aggrieved party is compensation or damages of loss suffered. However, sometimes pecuniary compensation does not satisfy the plaintiff so he may ask for specific relief.

For example, if somebody unlawfully dispossess a person without his consent having peaceful possession over the property then specific relief may enable him to have the possession of same property instead of claiming pecuniary compensation.

Specific performance means enforcement of exact terms of the contract. Under it the plaintiff claims for the specific thing of which he is entitled as per the terms of contract.

For example, if A agrees to sell certain shares to B of a specific company which are limited in number and after the payment made by B, if A refuses to sell the shares, then B is entitled to recovery of those shares.

Specific performance of a contract means enforcement of exact terms of contract. Under it, the plaintiff claims for the specific thing of which he is entitled as per the terms of the contract. Specific relief can be granted only for the purpose of enforcing individual civil rights and not for the mere purpose of enforcing a penal law, according to *Section 4* of the Act.

According to *Section 10* of the Specific Relief Act, 1963 -

**Cases in which specific performance of contract enforceable. —**

Except as otherwise provided in this Chapter, the specific performance of any contract may, in the discretion of the court, be enforced—

- (a) when there exists no standard for ascertaining actual damage caused by the non-performance of the act agreed to be done; or
- (b) when the act agreed to be done is such that compensation in money for its non-performance would not afford adequate relief.

Explanation. —Unless and until the contrary is proved, the court shall presume—

- (i) that the breach of a contract to transfer immovable property cannot be adequately relieved by compensation in money; and
- (ii) that the breach of a contract to transfer movable property can be so relieved except in the following cases: —

- (a) where the property is not an ordinary article of commerce, or is of special value or interest to the plaintiff, or consists of goods which are not easily obtainable in the market;
- (b) where the property is held by the defendant as the agent or trustee of the plaintiff.

Therefore,

- Specific performance of a contract is permitted when there exists **no standard of ascertaining actual damages caused by the breach** of contract. If the damage caused by the breach of contract is ascertainable, the remedy available is a claim for damages rather than specific performance of the contract. It is the situation in which the plaintiff is unable to determine the amount of loss suffered by him.
- Specific performance of a contract is also permitted when the act agreed to be done in such that **compensation in money for its non-performance would not afford adequate relief**. In following cases compensation of money would not provide adequate relief:
  1. Where the subject matter of the contract is an immovable property.
  2. Where the subject matter of the contract is movable property and such property or goods are not an ordinary article of commerce i.e. which could be sold or purchased in the market, the article is of special value or interest to the plaintiff, the article is of such nature that is not easily available in the market or the property or goods held by the defendant as an agent or trustee of the plaintiff.

### **Relevant Cases**

- ***Ram Karan v. Govind Lal***<sup>62</sup>

An agreement for sale of agricultural land was made & buyer had paid full sale consideration to the seller, but the seller refuses to execute sale deed as per the agreement. The buyer brought an action for the specific performance of contract and it was held by the court that the compensation of money would not afford adequate relief and seller was directed to execute sale deed in favour of buyer.

- ***Ramalingam v. V. Subramanyam***

It was held by the court where the part payment was paid by plaintiff and defendant admitted that he had handed over all documents of title of property to the plaintiff. Sale

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<sup>62</sup> A.I.R. 1999 Raj. 167

price in an agreement is not low and defendant had failed to establish that said document was only a loan transaction then the agreement is valid and defendant is liable to perform his part <sup>63</sup>

- ***Banwari Lal Agarwala v. Ram Swarup Agarwala***<sup>64</sup>

It was held that the plaintiff tenant was entitled to a decree of specific performance contract under section 10 of Specific Relief Act. Hence, the tenant suit for specific performance is to be decreed. Where from some special or practical features or incidents of the contract either in its subject-matter or in its terms or in the relation of the parties, it is impossible to arrive at a legal measure of damages at all, or at least with sufficient degree of certainty so that so real compensation can be obtained by means of an action at law, the contract will be enforced in specie.

- ***Brahmavati v. Ramesh Chand***<sup>65</sup>

The Allahabad High Court has held that in a suit for a specific performance of an original contract, extension of the period for convenience given only by some heirs could not deprive the purchaser of his remedy for specific performance.

According to *Section 11* of the Act,

**Cases in which specific performance of contracts connected with trusts enforceable. —**

- (1) Except as otherwise provided in this Act, specific performance of a contract shall, be enforced when the act agreed to be done is in the performance wholly or partly of a trust.

Under Specific Relief Act, a party cannot pray for specific performance of a part of the contract except in a handful of circumstances which are covered by *Section 12* of the Specific Relief Act.

- In case a contracting party is incapable of fulfilling the entirety of their contractual obligations, but the portion that cannot be fulfilled represents a relatively minor fraction of the overall value and can be adequately compensated with damages, the court has the authority to order the specific performance of the feasible portion of the contract and

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<sup>63</sup> A.I.R. 2003 Mad. 305

<sup>64</sup> AIR 1998 Pat 88

<sup>65</sup> AIR 1980 All 296

provide financial compensation to account for the non-performance of remainder part of the contract.

- If a part of the contractual bargain ought to be specifically performed and stands on a separate and independent footing from another part of the contractual bargain which cannot be specifically performed, the court may direct the specific performance of the first part.
- If a party to a contract is unable to perform the whole of its part and the part which is left unperformed forms a considerable part of the contractual bargain, the court would decline to grant such a decree for specific performance

The Supreme Court in **B. Santoshamma**<sup>66</sup> opined that the provisions of *Section 12* of the Relief Act must be construed and interpreted in a purposive and meaningful manner to empower the Court to direct specific performance by the defaulting party of so much of the contract, as can be performed. It was further clarified that a contractee who frustrates a contract deliberately by his own wrongful acts cannot be permitted to escape and scot-free.

According to *Section 14* of the Specific Relief Act, 1963,

Contracts which cannot be specifically enforced. -

- 1) The following contracts cannot be specifically enforced, namely: -
  - (a) a contract for the non-performance of which compensation in money is an adequate relief;
  - (b) a contract which runs into such minute or numerous details or which is so dependent on the personal qualification or volition of the parties, or otherwise from its nature is such, that the court cannot enforce specific performance of its material terms;
  - (c) a contract which is in its nature determinable;
  - (d) a contract the performance of which involves the performance of a continuous duty which the court cannot supervise.
- 2) Save as provided by the Arbitration Act, 1940 (10 of 1940), no contract to refer present or future differences to arbitration shall be specifically enforced, but if any person who has made such a contract (other than an arbitration agreement to which the provisions of the

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<sup>66</sup> 2020 19 SCC 80

said Act apply) and has refused to perform it, sues in respect of any subject which he has contracted to refer, the existence of such contract shall bar the suit.

3) Notwithstanding anything contained in clause (a) or clause (c) or clause (d) of sub-section (1), the court may enforce specific perform once in the following cases-

(a) where the suit is for the enforcement of a contract-

(i) to execute a mortgage or furnish any other security for securing the repayment of any loan which the borrower is not willing to repay at once:

Provided that where only a part of the loan has been advanced the lender is willing to advance the remaining part of the loan in terms of the contract, or

(ii) to take up and pay for any debenture of a company.

(b) where the suit is for-

(i) the execution of a formal deed of partnership, the parties having commenced to carry on the business of the partnership, or

(ii) the purchase of a share of a partner in a firm.

(c) where the suit is for the enforcement of a contract for the construction of any building or the execution of any other work on land:

Provided that the following conditions are fulfilled, namely-

(i) the building or other work is described in the contract in terms sufficiently precise to enable the court to determine the exact nature of the building or work.

(ii) the plaintiff has a substantial interest in the performance of the contract and the interest is of such a nature that compensation in money for non-performance of the contract is not an adequate relief, and

(iii) the defendant has, in pursuance of the contract, obtained possession of the whole or any part of the land on which the building is to be constructed or other work is to be executed.

According to *section 14* following contracts cannot be specifically enforced-

**1. Where compensation in money is an adequate relief [section 14(1) (a)]. -**

Courts will not order specific performance of a contract where the aggrieved party can be adequately compensated in terms of money. An ordinary contract to lend or borrow money whether with or without security is an example of a contract which cannot be specifically

enforced, though where a loan has been already advanced on the understanding that a security would be provided against it, this can be specifically enforced.

#### *Illustrations*

- (a) A contracts to sell, and B contracts to buy, a lakh of rupees in the four per cent loan of the Central Govt.
- (b) A contracts to sell, and B contracts to buy, 40 chests of indigo at Rs. 1000 per chest.

#### ***Ashok Kumar Srivastava v. National Insurance Co. Ltd.*** <sup>67</sup>:

In case of contract for the sale of something which has its special value and is not an ordinary article of commerce, such as rare coins, the contract can be specifically enforced, because compensation in money will not constitute an adequate relief in such a case.

#### **2. Contracts which run into minute or numerous details section 14(1)(b). -**

The following kinds of contracts cannot be specifically enforced-

- (i) A contract which run into such minute or numerous details, or
- (ii) Which is so dependent on the personal qualification or volition of the parties, or
- (iii) otherwise from its nature is such, that the court cannot enforce specific performance of its material terms.

#### *Illustrations*

- (i) A contract to render personal service to B.
- (ii) A contract to employ B on personal service.
- (iii) A, an author, contracts with B, a publisher, to complete a literary work.

B cannot enforce specific performance of these contracts.

#### ***Executive Committee, State Warehousing Corporation v. Chandra Kiran Tyagi, AIR 1970 SC 1244:***

The Supreme Court had that ordinarily, the contracts for personal services cannot be specifically enforced.

But this rule is subject to following three exceptions:

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<sup>67</sup> AIR 1988 SC 2046

- (i) where a public servant has been dismissed from service in violation of Article 311 of the Constitution,
- (ii) where a worker has been dismissed from service under industrial law,
- (iii) where a legal body acts in violation of the provisions of the statute.

**3. Contracts which are determinable by their nature. -**

According to *section 14(1)(c)* contracts which are determinable by their nature cannot be specifically enforced. Determinable contract means a contract which can be determined or revoked or put to an end by a party to the contract. For example, in case of partnership at will any partner can retire by giving notice in writing to other partners and can dissolve the firm.

For example, A and B contract to become partners in a certain business, the contract not specifying the duration of the proposed partnership. This contract cannot be specifically enforced, for if it were so performed, either A or B might at once dissolve the partnership.

**1. Contracts regarding continuous duty requiring to supervision by court. -**

*Section 14(1)(d)* provides that a contract the performance of which involving continuing duty which the court cannot supervise cannot be specifically enforced. In ***Central Bank v. Vyankatesh***, the defendant was required to execute deed every year for the period of 25 years and contract is held to be specifically unenforceable.

**Arbitration. -** *Section 14* provides in sub-section (2) that, except as provided by the Arbitration Act, 1940 (Now Arbitration and Conciliation Act, 1996) a contract to refer a present or future dispute to arbitration shall not be specifically enforced. An arbitration agreement operates as a bar to the filing of a suit.

## **11. What is an Injunction? When can Injunction be granted by the Court?**

An injunction is a specific order of the court forbidding the commission of a wrong threatened or the continuance of a wrongful course of action already begun, or in some cases, when it is called mandatory injunction commanding active restitution of the former state of things.

Injunction means preventive relief. The grant of an injunction is an equitable remedy that prevents a defendant party from doing certain demonstrations or certain acts or makes them do such acts so that they do not bother another or cause any nuisance. The parties must abide

by and adhere to the ruling of a court in a judgment. Any action in contrary to that can attract monetary penalties or even imprisonment.

An injunction is a discretionary relief which may be a final or an interim order. They are used to stop someone from violating the rights of another or to mandate the doing of an act to enforce the rights of the plaintiff.

There are three characteristics of an injunction -

- A judicial process
- The relief obtained is restraint or prevention
- The act restrained is wrongful

Various definitions of an injunction -

- **Barney's Encyclopedia of the law of England.** -It is defined as a judicial process by which one, who has invaded or is threatening to invade the rights (Legal or equitable) of another, is restrained from continuing or commencing such wrongful act.
- **Lord Halsbury.** - An injunction is a judicial process whereby a party is ordered to refrain from doing or to do a particular act or thing.
- **Joyce.** -"An order remedial, the general purpose of which is to restrain the commission or continuance of some wrongful act of the party informed."
- **Story says.** - If one were disposed to be scrupulously critical on such a subject, he might object to the apparent contract between justice in the first part of the sentence and equity and good conscience in the latter. This truth is that in this connection the words have the same identical meaning.

*Part III of the Specific Relief Act, 1963* deals with the preventive reliefs. *Chapter VII* speaks of injunctions. The following Sections are to be noted -

- **Section 36** states that preventive relief is granted by temporary and perpetual injunctions at the discretion of the court.
- **Section 37** gives an explanation of temporary and perpetual injunctions.
- **Section 38** states the cases wherein the court can grant perpetual injunctions
- **Section 39** mentions mandatory injunctions

- **Section 40** states that damages can be provided in lieu of or in addition to injunctions when claimed by the plaintiff
- **Section 41** outlines the circumstances under which an injunction cannot be granted
- **Section 42** states that the court can grant an injunction to perform a negative agreement when a contract comprises both an affirmative agreement and a negative agreement, even when the court is unable to compel specific performance of an affirmative agreement.

### **Types of Injunctions**

#### **1. Temporary Injunction**

A temporary injunction is a legal remedy that temporarily restrains a party from performing a specified act. This type of injunction can be granted until the disposal of the suit or until the court issues a further order. The grant of an injunction is subject to the provisions of Order 39, *Section 94 (c) and (e)* of the Code of Civil Procedure 1908 & *Section 37(1)* of the Specific Relief Act 1963 and may be awarded at any juncture of the legal proceedings.

#### **2. Permanent Injunction**

Popularly referred to as perpetual injunction, can be granted by the court by passing a decree made after hearing and upon the merits of the case. Once such decree is passed, the defendant is permanently prohibited from the assertion of a right, or from the commission of an act, which would be contrary to the rights of the plaintiff. The legal provision for perpetual injunctions is not encompassed within the Code of Civil Procedure 1908 but rather falls under the purview of the Specific Relief Act of 1963 [*Section 37(2), 38*].

#### **3. Prohibitory Injunction**

This is governed under *Section 38 of the Specific Relief Act* and is commonly referred to as a restrictive injunction, which is a legal directive that mandates an individual or organization to abstain from performing a specific action. Mainly for the prevention of harm or infringement of rights.

#### **4. Mandatory Injunction**

This compels an individual to undertake a specific action and is mentioned in *Section 39 of the Specific Relief Act*. There are two distinct categories of mandatory injunctions, namely

restorative and enforcing. The former pertains to the restoration of the status quo by compelling the defendant to undertake a specific action, while the latter involves the performance of a positive act, typically on a continuous basis.

Under *Section 37 of the Specific Relief Act*, temporary and perpetual injunctions can be issued-

- 1) Temporary injunctions are such as are to continue until a specified time, or until the further order of the court, and they may be granted at any stage of a suit, and are regulated by the Code of Civil Procedure, 1908 (5 of 1908).
- 2) A perpetual injunction can only be granted by the decree made at the hearing and upon the merits of the suit; the defendant is thereby perpetually enjoined from the assertion of a right, or from the commission of an act, which would be contrary to the rights of the plaintiff.

On the other hand, *Section 41 of the Specific Relief Act, 1963* says the grounds on which an injunction can be refused -

An injunction cannot be granted-

- (a) to restrain any person from prosecuting a judicial proceeding pending at the institution of the suit in which the injunction is sought, unless such restraint is necessary to prevent a multiplicity of proceedings;
- (b) to restrain any person from instituting or prosecuting any proceeding in a court not subordinate to that from which the injunction is sought;
- (c) to restrain any person from applying to any legislative body;
- (d) to restrain any person from instituting or prosecuting any proceeding in a criminal matter;
- (e) to prevent the breach of a contract the performance of which would not be specifically enforced;
- (f) to prevent, on the ground of nuisance, an act of which it is not reasonably clear that it will be a nuisance;
- (g) to prevent a continuing breach in which the plaintiff has acquiesced;
- (h) when equally efficacious relief can certainly be obtained by any other usual mode of proceeding except in case of breach of trust;
- (i) when the conduct of the plaintiff or his agents has been such as to disentitle him to the assistance of the court;

(j) when the plaintiff has no personal interest in the matter.

### **Cases Related to Injunction -**

- ***Ram Kishun v. Jamuna Prasad*<sup>68</sup>**

There may be an order to preserve the property until the final hearing of the case. The object may be to maintain status quo. So that the alleged harm is avoided, which could otherwise occur until the case is finally disposed of by the court on merits.

- ***Bruce v. Silvaraj*<sup>69</sup> :**

A person filing a suit for injunction can succeed only when he is in possession of the property. If he is not in possession of the property, or adverse possession has not been confirmed an injunction cannot be issued in his favour.

- ***Kallappa and Lunda Ram v. Shivappa Aparaj*<sup>70</sup>**

Where the plaintiff is in possession of the property and the possession is not illegal and that there is no evidence that the possession before the suit has been obtained by unfair means, injunction, without declaration can be issued.

- ***Executive Committee of Vaishya Degree College, Shamli v. Lakshmi Narain*<sup>71</sup>**

The relief of injunction cannot be granted or obtained as of right. The granting of relief of injunction is discretionary.

- ***Meston School Society v. Kashi Nath*<sup>72</sup> -**

An injunction can only be issued against the party and not a stranger to the case or a third party

- ***Union of India v. Bhuneshwar Prasad*<sup>73</sup> -**

The Patna High Court rejected the application filed by the defendant against the order of the Ld. District Judge, who upheld the order of grant of temporary injunction to the plaintiff

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<sup>68</sup> (1951) 6 DLR 22 (Pat):

<sup>69</sup> (1987) Supp SCC 161

<sup>70</sup> AIR 1995 Kant 238 (243)

<sup>71</sup> AIR 1976 SC 888

<sup>72</sup> 1951

<sup>73</sup> 1962

restraining the defendant from removing the plaintiff from the services as there was a prima facie case in favour of the plaintiff and there was a balance of convenience in his favour as well.

- ***Walter Louis Franklin v. George Singh*** <sup>74</sup>-

The plaintiff filed a pleading before the Court to grant perpetual injunction to restrain the defendant from unlawfully using his land where the defendant claimed that he was the real owner, the Court, however, held that the perpetual injunction shall be granted as the land was in possession of the plaintiff

## **12. What is meant by Contingent Contract? Discuss “agreements contingent on impossible event, void”. Discuss anticipatory breach of contract.**

An absolute contract is one where the promisor performs the contract without any condition. Contingent contracts, on the other hand, are the ones where the promisor performs his obligation only when certain conditions are met. The term contingent contract refers to a contract whose enforceability is directly dependent on the occurrence or non-occurrence of an event.

For instance, Mr. X agrees to give B Rs. 20,000, if and only if Mr. Z's building is burned down. This is a contingent situation and this contract is an example of what a contingent contract is. When an event or circumstance is contingent, it signifies that it is dependent on another event or fact. For example, just like, making money is dependent on getting well and qualitative paying work, every event or a result is dependent on any other activity.

Under *Section 31 of the Indian Contract Act*, A "contingent contract is a contract to do or not to do something, if some event, collateral to such contract, does or does not happen.

### ***Illustration***

A contracts to pay B Rs. 10,000 if Bs house is burnt. This is a contingent contract.

### **Essentials of Contingent Contract -**

- **The Contract's Performance Must Be Conditional:**

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<sup>74</sup> (1996)

The event for which the contract was made must occur in the future and should be unpredictable. If the contract's performance is dependent on a future occurrence that is assured to occur, it is not termed as a contingent contract.

- **A Legitimate Contract Must Exist to Do or Refrain from Doing Anything:**

*Sections 32 and 33* of the Indian Contract Act deal with the enforcement of a contingent contract based on the circumstances occurring or not occurring.

However, if the contract is about executing or not performing an obligation then only it will be considered legal otherwise it is not.

- **Events Must Not Be Left Up to The Promisor's Decision:**

The event's occurrence that is being considered as a contingency must not be reliant on the promisor in any way. It must be completely futuristic in nature.

- **The Specified Event Should Be a Contractual Term:**

The occurrence or non-occurrence of the event on which the contract's performance is contingent should not be included in the contract's consideration. The event's occurrence or non-occurrence should be separate from the contract and exist on its own.

### **Enforcement of Contingent Contract -**

The enforcement of contingent contracts is given under *Section 32 to 36 of the Indian Contract Act -*

#### **32. Enforcement of contracts contingent on an event happening. —**

Contingent contracts to do or not to do anything if an uncertain future event happens cannot be enforced by law unless and until that event has happened. If the event becomes impossible, such contracts become void.

#### *Illustrations*

- (a) A makes a contract with B to buy B's horse if A survives C. This contract cannot be enforced by law unless and until C dies in A's lifetime.
- (b) A makes a contract with B to sell a horse to B at a specified price, if C, to whom the horse has been offered, refuses to buy him. The contract cannot be enforced by law unless and until C refuses to buy the horse.

- (c) A contracts to pay B a sum of money when B marries C. C dies without being married to B. The contract becomes void.

A contingent contract might be based on the happening of an uncertain future event. In such cases, the promisor is liable to do or not do something if the event happens. However, the contract cannot be enforced by law unless the event takes place. If the happening of the event becomes impossible, then the contingent contract is void.

**33. Enforcement of contracts contingent on an event not happening. —**

Contingent contracts to do or not to do anything if an uncertain future event does not happen can be enforced when the happening of that event becomes impossible, and not before.

**Illustration:** A agrees to pay B a sum of money if a certain ship does not return. The ship is sunk. The contract can be enforced when the ship sinks.

A contingent contract might be based on the non-happening of an uncertain future event. In such cases, the promisor is liable to do or not do something if the event does not happen. However, the contract cannot be enforced by law unless happening of the event becomes impossible. If the event takes place, then the contingent contract is void.

**34. When event on which contract is contingent to be deemed impossible, if it is the future conduct of a living person. —**

If the future event on which a contract is contingent is the way in which a person will act at an unspecified time, the event shall be considered to become impossible when such person does anything which renders it impossible that he should so act within any definite time, or otherwise than under further contingencies.

**Illustration:** A agrees to pay B a sum of money if B marries C. C marries D. The marriage of B to C must now be considered impossible, although it is possible that D may die and that C may afterwards marry B.

If a contract is a contingent upon how a person will act at a future time, then the event is considered impossible when the person does anything which makes it impossible for the event to happen.

**35. When contracts become void which are contingent on happening of specified event within fixed time. —**

Contingent contracts to do or not to do anything if a specified uncertain event happens within a fixed time become void if, at the expiration of the time fixed, such event has not happened, or if, before the time fixed, such event becomes impossible. When contracts may be enforced, which are contingent on specified event not happening within fixed time. —Contingent contracts to do or not to do anything, if a specified uncertain event does not happen within a fixed time may be enforced by law when the time fixed has expired and such event has not happened or, before the time fixed has expired, if it becomes certain that such event will not happen.

***Illustrations***

(a) A promises to pay B a sum of money if a certain ship returns within a year. The contract may be enforced if the ship returns within the year, and becomes void if the ship is burnt within the year.

(b) A promises to pay B a sum of money if a certain ship does not return within a year. The contract may be enforced if the ship does not return within the year, or is burnt within the year.

There can be a contingent contract wherein a party promises to do or not do something if a future uncertain event happens within a fixed time. Such a contract is void if the event does not happen and the time lapses. It is also void if before the Contingent contracts might be based on the non-happening of an uncertain future event within a fixed time. In such cases, the promisor is liable to do or not do something if the event does not happen within the said time. The contract can be enforced by law if the fixed time has expired and the event has not happened before the expiry of the time. Also, if it becomes certain that the event will not happen before the time has expired, then it can be enforced by law time fixed, the happening of the event becomes impossible.

**36. Agreement contingent on impossible events void. —**

Contingent agreements to do or not to do anything, if an impossible event happens, are void, whether the impossibility of the event is known or not to the parties to the agreement at the time when it is made.

### ***Illustrations***

- (a) A agrees to pay B 1,000 rupees if two straight lines should enclose a space. The agreement is void.
- (b) A agrees to pay B 1,000 rupees if B will marry A's daughter C. C was dead at the time of the agreement. The agreement is void.

If a contingent contract is based on the happening or non-happening of an impossible event, then such a contract is void. This is regardless of the fact if the parties to the contract are aware of the impossibility or not.

Contingent contracts are used in our daily life. Mainly for businesses, it is being used in negotiations where all goodwill and trust that is created can disagree in front of the negotiating opposite party about future events that need to work, in that case, a contingent contract is of great use.

In a life insurance contract, the insurer has to pay a certain amount if suddenly the insured person dies due to certain conditions due to which the insurer will not be called for action of taking the amount until the death which is an event that has happened so in this case contingent contract is required.

### **Anticipatory Breach of Contract**

Anticipatory Breach of Contract means a breach done before the date of performance of the contract. When prior to the due date of the performance of the contract, there is absolute repudiation (to say that you refuse to accept something) of the contract. *Section 39 of the Indian Contract Act* deals with Anticipatory Breach of Contract. According to this section, when a party to a contract refused to perform or has disabled himself from performing (fulfilling) his promise in its whole, the promisee may put an end to the contract unless he has signified, by words, or conduct his acceptance in its continuance.

*Section 39. Effect of refusal of party to perform promise wholly. —*

When a party to a contract has refused to perform, or disabled himself from performing, his promise in its entirety, the promisee may put an end to the contract, unless he has signified, by words or conduct, his acquiescence in its continuance.

### ***Illustrations***

- a. A, a singer, enters into a contract with B, the manager of a theatre, to sing at his theatre two nights in every week during the next two months, and B engages to pay her 100 rupees for each night's performance. On the sixth night A willfully absents herself from the theatre. B is at liberty to put an end to the contract.
- b. A, a singer, enters into a contract with B, the manager of a theatre, to sing at his theatre two nights in every week during the next two months, and B engages to pay her at the rate of 100 rupees for each night. On the sixth night, A willfully absents herself. With the assent of B, A sings on the seventh night. B has signified his acquiescence in the continuance of the contract, and cannot now put an end to it, but is entitled to compensation for the damage sustained by him through A's failure to sing on the sixth night.

Anticipatory breach of contract is made by the promisor and may be done in two ways:

- By the refusal of performance
- By disabling himself from performance

Anticipatory breach of contract occurs when one party indicates in advance their inability or unwillingness to fulfill the contract before the due date of performance. In such cases, the aggrieved party is entitled to various rights and remedies, including options for further performance, compensation, or rescission.

For example, "A" enters into a contract to deliver "B" 100 kg of wheat against the compensation of 100 rupees per kg, by 15th December 2023. Eventually on 10th December "A" denies delivering on promise and turns back on his words. This situation leads to anticipatory breach of contract on the part of "A". In this scenario, the aggrieved party, 'B', has the right to take legal action against the other party for breach of contract and seek damages. Additionally, 'B' has the discretion to decide whether to sue 'A' immediately or wait until the act was supposed to be performed.

**Breach of Contract:** A breach of contract transpires when either a party expressly agrees to relinquish their responsibilities stipulated within the agreement or they fail entirely to carry out their duties, or through actions make it impracticable to execute the required task.

**Types of breach:**

- **Anticipatory breach** - Occurs when there is a failure of performance or renunciation prior to the scheduled time of performance.
- **Present breach** - Happens when there is a failure of performance or renunciation at the exact moment the time of performance arrives.

### **Anticipatory Breach**

Anticipatory breach of contract is when one party in an agreement reveals, before the agreed time for their performance, that they are not going to perform as stipulated by the agreement. This clause enables the wronged party to exercise numerous rights and remedies including termination of contractual relationship; claiming damages for breach; and seeking restitution. This implies that the aggrieved party must have never implicitly accepted what was done by the infringing party so that this would otherwise have initialized even if there was an expected breach.

The idea of anticipatory breach is important since it allows the injured party to respond early enough on possible problems rather than waiting until after actual performance date. By taking early actions, these parties can limit their losses and protect themselves from further injuries due non-following of order issued by breaching party.

#### **Constituents of an anticipatory breach of contract:**

An anticipatory breach of contract happens in any of the following situations or ways:

- Expressed repudiation occurs when the defaulting party explicitly and unconditionally refuses to fulfill their contractual obligations. This refusal must be clear, unambiguous, and directed towards the innocent party. However, if the refusal is uncertain or vague, the non-breaching party may request assurance of performance from the defaulting party and temporarily suspend their own performance.
- Inability to perform due to a specific cause is another form of repudiation. If the defaulting party voluntarily engages in an act that renders them incapable of fulfilling their contractual obligations, it will be considered a breach of contract.
- Transfer of the subject of the contract to a third party is also a form of repudiation. In the case of contracts involving the sale of property, if the property is transferred to a third party, the contract will be deemed repudiated.

It is essential to note that repudiation of a contract can have significant consequences for both parties. The innocent party may seek remedies such as damages, specific

performance, or rescission of the contract. The breaching party may also face legal action and be held liable for any losses incurred by the innocent party.

### **Anticipatory Breach of Contract Remedies -**

These are the remedies for anticipatory breach of contract under the Indian Contract Act -

- Monetary award as compensation for the financial losses experienced by the party who was the victim of the anticipatory breach. The party can demand the deal that he or she was entitled to under the contract's terms or compensation for the net gain that would have occurred if the contract's anticipatory breach had not occurred.
- It is an anticipatory breach of contract remedy that puts the contract's injured party in the same situation as he or she was before the contract was made. In case of restitution, the injured party is barred from seeking compensation for the damages he has suffered as a result of the breach.
- The parties who have entered into the contract due to mistake, fraud, or undue influence, may seek to have the contract and the obligations formed thereunder set aside through the rescission remedy
- The court may modify the contract's substance to address the injustices that the damaged or aggrieved party to the contract has experienced. Because a contract mistake can simply be remedied by conducting a pre contract signing examination, courts often avoid offering the remedy of reformation.
- The remedy of specific performance obligates the breaching party to fulfil his or her contractual obligations which are spelt out in the contract's terms.

### **Cases –**

- ***Hochster vs De La Tour*<sup>75</sup>:**

In this case, Lord Campbell held that as soon as the anticipatory breach occurs, the other party has an immediate right of action. It may either sue immediately or wait till the time the act was to be done.

- ***Frost vs Knight*<sup>76</sup>:**

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<sup>75</sup> (1853)

<sup>76</sup> (1872)

In this case, it was held that even when the performance of a contract is conditional upon the happening of a contingency, an immediate action for damages will lie if, before the happening of the contingency, the promiser disables himself from the performance of the contract.

- ***Avery vs Bowden*<sup>77</sup>:**

In this case, it was held that while the contract is lying open, some event happens by which discharges a contract other than by repudiation, for example, by supervening impossibility or by frustration, the promiser would also be entitled to take advantage of the changed circumstances.

- ***Nandkishore Lalbagh vs New Era Fabrics Pvt.Ltd.& Ors*<sup>78</sup>:**

A contract for the sale of land with a factory was to be performed only if the labor unions agreed to the sale and further if the change of land use was approved by the appropriate authority. None of these contingencies could be fulfilled because neither there was approval by the labor union nor by the relevant authority. The contract was accordingly not allowed to be enforced against the seller.

- ***Gian Chand Vs Gopala and Ors*<sup>79</sup>:**

In this case, there was an agreement to sell the land that provided that the earnest money would be returned in case the land is notified for acquisition. Unknown to the parties, the land was already under notification. The contract became impossible for performance and therefore void on declaration under section 6 of the Land Acquisition Act.

- ***Frost Vs Knight*<sup>80</sup>:**

Defendant promised to marry the plaintiff on the death of his father. While the father was still alive, he married another woman. it was held that it had become impossible that he should marry the plaintiff and she was entitled to sue him for the breach of contract.

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<sup>77</sup> (1855)

<sup>78</sup> . (2015) 9 SCC 755 , AIR 2015 SC 3796

<sup>79</sup> 1995 SCC (2) 528, JT 1995 (2) 513

<sup>80</sup> (1872) 7 Ex. 111 : 41 L.J. Ex. 78 : 26 L.T. 77

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